Table of Contents

14 🔥🔪 Bad Loans & Other Burning Issues in Banking.....150

14.11 🔪Loan Types:.....150

14.11.1 🔪Loan types: depending on guarantee / Collateral.....150

14.11.2 🔪Loan Types: Based on Interest Rate.....150

14.11.3 🔪loan Types: Based on Borrowers.....151

14.11.4 🔪 Loan Types → Syndicated Lending, Credit Line.....151

14.11.5 🔪 Loan Types → financial-debt vs non-financial debt (वित्तीय ऋण/ ग़ैर-वित्तीय ऋण).....152

14.11.6 🤯🔪🙅 only RBI can decide credit card interest rate ruled SC (2024).....152

14.11.7 🔪💀-🤑-😕-😭NPA / TBS Problem: Three Stages of _ _ _ 152

14.12 🔪💀Non-Performing Assets (अनर्जक परिसंपत्तियां).....153

14.12.1 🔪💀 NPA greatly declined- said Economic Survey 2024.....153

14.12.2 🔪💀NPA related definitions in Banking Sector.....153

14.12.3 🔪📦 Provisioning- ECL framework from 2027.....154

14.12.4 Loan Write Off by banker to save taxes by deleting NPA from balancesheet.....154

14.12.5 🔪 Restructured Loans & Stressed Assets.....154

14.12.6 → ATMANIRABHAR Loan/EMI/NPA relief / Moratorium.....154

14.12.7 🤯🔪💊 RBI's various frameworks to deal with NPA/Bad loans.....155

14.12.8 📘🔪 ES25: credit to GDP GAP.....155

14.12.9 📘🔪 ES25: Bank Credit to GDP ratio - India vs others.....155

14.13 NPA, profitability & CRAR (BASEL)- घी दूध की नदियाँ as per 📕ES26.....156

14.14 ⚖️🔪 SARFAESI Act 2002: Origin, Objective & Limitations.....156

14.14.1 ⚖️🔪👨‍💼💪 Which lenders have SARFAESI powers?.....157

14.14.2 🤯⏫ RBI's SNFA framework on confiscated immovable property (2026).....157

14.14.3 ⚖️💪Legal Rights of Loan Defaulter in SARFAESI Act.....157

14.14.4 ⚖️🔪: 🙅‍♂️Limitations of SARFAESI Act (मर्यादाए).....157

14.15 ⚖️🔪🤝 Insolvency and Bankruptcy (I&B) Code 2016.....158

14.15.1 ⚖️🔪🤝 IBC Code: Appeal Structure.....158

14.15.2 ⚖️🔪🤝 IBC: Process for resolution.....159

14.15.3 ⚖️🔪🤝 Statutory bodies related to IBC.....159

14.16 🔪🥺|😤Insolvent vs Wilful Defaulter.....159

14.16.1 🔪😤 Declare wilful defaulters within 6 months of NPA- says RBI Proposal.....159

14.16.2 🔪😈 Wilful defaulters: 6 characteristics by RBI.....160

14.16.3 🔪 Guarantor (ज़मानतदार).....160

14.16.4 ⚖️🔪🤝:🤫 IBC Pre-Packs (पर्दे के पीछे जल्दी से केस सुलटा लेते है !).....160

14.16.5 👻🖐️ (⚖️🔪🤝) ATMANIRBHAR → IBC Ordinance/Act 2020 to suspend new cases.....161

14.16.6 🔪⚖️ IBC Amendment Bill 2025- mostly technical, so ignoring.....161

14.16.7 (⚖️🔪🤝)🈶🌐 Cross-border Insolvency (सीमा-पार का दिवालियापन).....161

14.16.8 👮(⚖️🔪🤝) Insolvency and Bankruptcy Board of India (IBBI).....161

14.16.9 👮🔪IBBI Information Utility.....162

14.16.10 👮(⚖️🔪🤝)Insolvency → Misc. Org: Indian Institute of Corporate Affairs.....162

14.17 🔪🙅 IBC observations from 📘ES25.....162

14.17.1 🔪🙅 IBC has increased forex hedging by borrowers says 📘ES25:.....162

14.17.2 🔪🙅 IBC helped reducing bond credit spreads says 📘ES25:.....162

14.17.3 🔪🙅 IBC benefits - misc. by 📘ES25:.....163

14.17.4 🔪🙅 IBC Code - future suggestions by 📘ES25:.....163

14.17.5 🔪⚖️ IBC Code 2016- observations of 📕ES26- both +ve & -ve.....163

14.18 👄🔪 Budget-2025: on Loans/NPA.....163

14.19 (⚖️🔪🤝)👋👋 Voluntary Liquidation of Companies....163
14.20 👁️🔪💻- 😺 Credit Rating / Monitoring- various org/initiatives....164
14.20.1 👁️🔪💻- 😺 National Financial Information Registry (NFIR) in 👛Budget-2023....164
14.20.2 🐂 RBI's Public-Tech Platform for Frictionless Credit (2023, घर्षण रहित ऋण)....165
14.20.3 😺🛰️🔪 RBI's Unified Lending Interface (2024)....165
14.20.4 👩‍⚖️ eBkray auction platform / IBAPI (2019)....165
14.20.5 🛰️🔪 Baanknet - e-auction portal for Sarkaari Banks (2025)....165
14.20.6 👩‍⚖️ CEIB's Unified Automated Search portal for large borrower (2024)....165
14.20.7 👩‍⚖️ IFTAS Cloud Computing Facility by RBI for Banks/NBFCs....166
14.20.8 👩‍⚖️ Reserve Bank Innovation Hub (RBIH) Repository....166
14.20.9 👁️🔪💻- 🌐 Legal Entity Identifier (LEI) Number: (कानूनी इकाई पहचान संख्यांक)....166
14.21 🔪🈶🏃🌐- ⚖️ Fugitive Economic Offenders Act, 2018....166
14.21.1 Bankers can't issue Look Out Circulars (LOCs) says Bombay HC....167
14.21.2 🔪🌐 India joins CARIN Asset Recovery group (2024)....167
14.22 👮🏦💸👷 DICGC Act: Objective & Limitations....167
14.22.1 🏦🚫 DICGC : Risk Based Premium Framework? (2025 Proposal)....168
14.22.2 👮🏦💸👷- 👎 Limitation of DICGC (मर्यादाएँ)....168
14.23 👩‍⚖️(🏦🔪💀) Bad Bank (NARCL, IDRCL-2021)....168
14.23.1 👩‍⚖️(🏦🔪💀): 🧬 Bad Bank Structure....169
14.23.2 👩‍⚖️(🏦🔪💀) Bad Bank: 🗃️ functioning, benefits etc....170
14.24 😺🪚👹⏭️💬✋ Prompt Corrective Action (PCA) Framework....170
14.24.1 😺🪚👹⏭️💬✋ RBI's Prompt Corrective Action (PCA) for NBFCs....170
14.24.2 😺⏫ RBI's Scale-Based Regulatory Framework (SBR) & Upper layer NBFCs?....171
14.24.3 😺🪚👹⏭️ RBI 's Supervisory Action Framework (SAF) for Urban Co-operative Banks....171
14.24.4 RBI'4-tiered regulatory framework for urban cooperative banks (2022-Dec)....171
14.24.5 😺: 🦋 Regulations Review Authority (RRA 2.0)- for Ease of implementing RBI rules....171
14.24.6 😺: 🦋 RBI supervision: Utkarsh-2022" roadmap....172
14.24.7 Digital lending norms by RBI (2022-Nov)....172
14.24.8 Digital lending → FIRST LOSS DEFAULT GUARANTEE (FLDG) norm by RBI....173
14.24.9 Digital lending → Digital lending Apps public repository by RBI (2024-Aug)....173
14.25 🌐👮 BASEL-III Norms (बेसेल-3 मानदंड)....173
14.26 🐂🔪 RBI increasing CRAR on Bank/NBFCs' unsecured loans (2023)....174
14.26.1 🐂🔪😨 Implications of higher CRAR....175
14.26.2 🌐🏦👮 BASEL-III norms: Capital Tiers....175
14.26.3 🔪🗃️👨‍🦱 Additional Tier 1 (AT1) Bonds....175
14.26.4 🔪🗃️👨‍🦱 Zero Coupon Bonds – ref Pillar1C....176
14.26.5 🌐👮 D-SIB: Domestic Systematic Important Banks....176
14.27 😺🤧: BASEL Norms/deadlines postponed/Suspended in Corona....176
14.28 😺📊🗓️ Banks' Balance sheet / Audit Norms (तुलन पत्र लेखा परीक्षण)....177
14.28.1 😺📊🗓️ IndAS Accounting Norms deferred (लेखा मानदंड स्थगित/टाल दिये)....177
14.29 🌐👮💸 Recapitalization of PSBs: [सार्वजनिक क्षेत्र के बेंको का पुन:पूंजीकरण]....177
14.30 👨‍💼Banking Sector: Governance / Administrative Reforms....178
14.30.1 👨‍💼Gyan-Sangam-I, 2015, Pune....178
14.30.2 👨‍💼 Personnel Selection → Bank Board Bureau (BBB), 2016....178
14.30.3 👨‍💼 Personnel Selection → FSIB replaces BBB (2022)....178
14.30.4 👨‍💼Customer Service: Enhanced Access and Service Excellence (EASE) Agenda 2018....179
14.30.5 👨‍💼👮: 🛡️ Staff Accountability Framework for PSB-NPA....179
14.30.6 👨‍💼Customer Service: RBI's B.P.Kanungo committee (2022)....179
14.31 🧹🐵: 👹(🚫🏦) NEGATIVE News: ILFS & Shadow Banking....180
14.31.1 👹(🚫🏦) NBFC: Shadow Banking (आभासी / प्रतिछाया बैंकिंग प्रणाली)....180

14.31.2 (Shadow Banks → IL&FS & NBFC Liquidity Crisis.....180
14.31.3 ATMANIRBHAR → Partial Credit Guarantee Scheme (PCGS) 2.0.....180
14.31.4 Shadow Banking: reform points by Government and SEBI.....181
14.32 Negative News: PNB, LoU, SWIFT, & Nirav Modi.....181
14.32.1 Yes Bank to be taken over by Japan's Sumitomo Bank (2025).....181
14.33 RBI Dividend, Reserves, Economic Capital Framework.....181
14.33.1 RBI seignorage not source of income as per official AKEY?.....182
14.33.2 RBI's Bimal Jalan panel (2018).....182
14.33.3 RBI gives highest/record-breaking dividend Rs 2.86 lakh crore to Govt (2025-26).....182
14.33.4 RBI's Financial / Accounting Year (वित्तीय वर्ष में बदलाव).....182
14.33.5 Section-7 Directive & Urjit Patel's Resignation (इस्तीफा).....183
14.33.6 Mains Answer Writing.....183

14 BAD LOANS & OTHER BURNING ISSUES IN BANKING

14.11 LOAN TYPES:

14.11.1 Loan types: depending on guarantee / Collateral

Secured Loans	Unsecured Loans (collateral free loans)
where borrower has to pledge an asset as security while borrowing from the lender. e.g. home loans, gold loans, automobile loans. Biz Loans by pledging fix deposit certificates, shares, bonds, factory etc.	Borrower does not pledge asset as collateral. e.g. Overdraft, Credit Card, Personal loans for wedding/travel, student loans, farmer loans etc. (गिरवी कुछ नहीं रखा जाता।)
Banker's risk is lower. So loan interest rates may be lower. (जोखीम कम, इसलिए लोन का ब्याज भी कम)	Higher risk. Higher interest rate. Exception: in education loans, Micro enterprise loans, farmer loans etc. Union government provides credit guarantee against the losses of the bank. So such loans may be 'unsecured', YET cheap interest rate. (Ref: Pillar#1D for more.)
Amount is usually higher than unsecured loan. (मोटी माला का लोन मिलता है)	Banker gives lower amount of loan.
Longer tenure of repayment e.g. 15–20 years (लंबी अवधि का लोन मिलता है)	Shorter. (because the banker would want to recover the money as fast as he can)

14.11.2 Loan Types: Based on Interest Rate

Fixed Interest Loan (निश्चित ब्याजदर का ऋण)	Floating Interest Loan (चलायमान)
e.g. Short-term crop loans upto ₹3 lakh for farmers at fixed Interest 7%. This interest rate will not be changed throughout the loan tenure.	e.g. (External Benchmark) + spread + risk premium. (Ref#1A2-MonPolicy). But benchmark is regularly updated. So resultant interest rate may increase or decrease throughout the tenure of loan.
	Teaser Loan: A sub-type of Floating interest rate loan, wherein initial years have low interest, but afterwards- higher interest rate. Responsible for

Fixed Interest Loan (निश्चित ब्याजदर का ऋण)	Floating Interest Loan (चलायमान)
	subprime crisis in USA (2007-08). RBI has not banned Teaser loans but RBI has put stricter regulations on them from 2011.

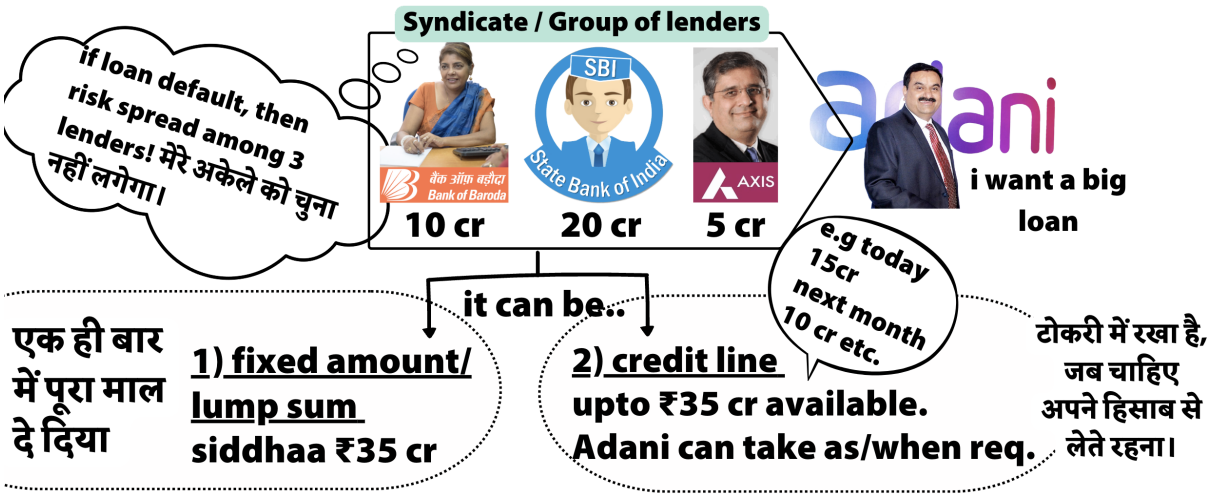
14.11.3 🔪loan Types: Based on Borrowers

👨‍💼 Prime Borrower	He has the capacity to repay loans. (वो कर्जा वापस चुकाने की क्षमता रखता है)
🤦 Subprime Borrower (Individual)	Such person doesn't have the capacity to repay loan. Giving teaser rate home loans to them caused Sub-prime Crisis in USA (2007-08), ultimately led to Global Financial Crisis (GFC). (More in 📄Pillar#3).
👴 Overleveraged Borrower (Company)	Such company has borrowed too much money than its ability to pay it back. An Overleveraged company has high ratio of Debt (Bonds/loans) to Equity (Shares -more in pill1C). वापस करने की क्षमता से भी अधिक कर्ज ले लिया है
🧟 Zombie Lending	When a weak bank keeps giving new loans to a subprime / overleveraged borrower. कमजोर बैंक, कमजोर कर्जदार को लोन देता रहे है
Impaired Loan क्षतिग्रस्त ऋण.	It is a loan that is not performing according to the original terms of the agreement. Basically loan not getting repaid on time.

🔠❓ **Why is the offering of "teaser loans" by commercial banks a cause of economic concern?** ***(Pre-2011)***

1. The teaser loans are considered to be an aspect of sub-prime lending and banks may be exposed to the risk of defaulters in future.
2. In India, the teaser loans are mostly given to inexperienced entrepreneurs to set up manufacturing or export units. **Codes:** (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 or 2

14.11.4 🔪 Loan Types → Syndicated Lending, Credit Line



MCQ. Consider the following statements: (Pre'24-set-C-Q42)

StI: Syndicated lending spreads the risk of borrower default across multiple lenders.

StII: The syndicated loan can be a fixed amount/lump sum of funds, but cannot be a credit line.

Codes: (a) Both I & II are correct & II is the correct explanation for 1

(b) Both I & II are correct & II is not the correct explanation for 1

(c) I is correct but II is wrong (d) I is wrong but II is correct

Note: UPSC cancelled above MCQ, due to error in Hindi translation.

14.11.5 🔪 Loan Types → financial-debt vs non-financial debt (वित्तीय ऋण/ ग़ैर-वित्तीय ऋण)

🔠❓ **In Indian economy, non-financial debt includes ___ ? (Prelims-2020 SetB- Q84)**

(1) Housing loans owed by households (2) Amounts outstanding on credit cards (3) Treasury bills

Codes: [a] 1 only [b] 1 and 2 only [c] 3 only [d] 1, 2 and 3

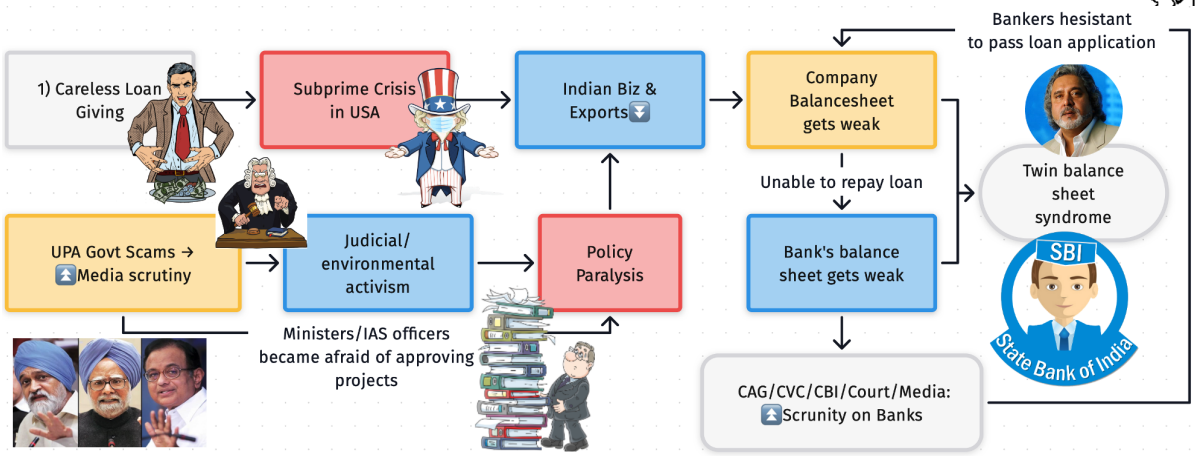
14.11.6 🐯🔪👩‍⚖️ only RBI can decide credit card interest rate ruled SC (2024)

- Banking Regulation Act, 1949 says only RBI can decide the loan interest rates. Courts cannot interfere in this.
- Then, some Bankers started levying 36–49% rates of interest on credit card late payments.
- **2008**: Consumer Court (National Consumer Disputes Redressal Commission (NCDRC)) ruled that banks could not charge more than 30% interest.
- Bankers went to Supreme Court against this decision of Consumer Court.
- **2024**: SC ruled: "*only RBI can decide interest rate. Consumer court cannot decide. - as per Banking Regulation Act, 1949.*"

14.11.7 🔪💀-🤑-😕-😭NPA / TBS Problem: Three Stages of _ _ _ .

1. 🤑**Till mid-2000s:** Boom period in global economy. Indian Corporates were taking large amount of loans & became over-leveraged. (भुगतान की क्षमता से बड़ा लोन लेना)
2. 😟**From 2007-08:** Subprime & Global Financial Crisis (GFC: वैश्विक आर्थिक संकट): Indian exports ↓ . UPA govt's policy paralysis & judicial activism, environment activism ⟹ projects delayed. Companies began facing difficulties finishing projects & repaying loans.(नीतिगत पक्षाघात और न्यायिक सक्रियता, पर्यावरण सक्रियता के चलते प्रोजेक्ट ख़त्म करने में विलंब।)
3. 😰**By 2013**: ~1/3rd of the bank loans were owned by "IC1 **companies**" i.e. companies with interest coverage ratio less than 1, meaning they were not generating enough revenue even to repay the loan interest. (IC>1 is good and IC <1 is bad.)

Thus, balance-sheets of (1) some Large Corporates Companies & (2) Public Sector Banks (PSB) became weak. It is called "Twin balance sheet syndrome (TBS)" [दोहरे तुलनपत्र की समस्या] by Economic Survey 2015-16.



What is the importance of "Interest Coverage Ratio" of a firm in India? (Prelims-2020)

1. It helps in understanding the present risk of a firm that a bank is going to give a loan to.
2. It helps in evaluating the emerging risk of a firm that a bank is going to give a loan to.
3. The higher a borrowing firm's level of ICR, the worse is its ability to service its debt.

Answer Code: (a) 1 and 2 only (b) 2 only (c) 1 and 3 only (d) 1, 2 and 3

14.12 NON-PERFORMING ASSETS (अनर्जक परिसंपत्तियां)

- If loan principal or interest is not paid for more than 90 days from its due date, then such loan account is classified as Non-Performing Asset (NPA). किश्त जमा करने की नियत तिथि/तारीख के ऊपर भी 90 दिनों से अधिक हो चुके हो किन्तु किश्त जमा नहीं की गयी तो....
- For farm loans, NPA is not counted on number of days but on number of cropping seasons. कृषि ऋण में महीनों के हिसाब से नहीं फसल की मौसम/ऋतु के हिसाब से होता है

14.12.1 NPA greatly declined- said Economic Survey 2024

ES24: loan recoveries and loan write-offs helped in this decrease.

14.12.2 NPA related definitions in Banking Sector

Std. Assets	Loan account where borrower is repaying the principal and interest in timely fashion. (आदर्श परीसंपतिया= नियमित ब्याज मुद्दल/ मूलधन मिला)
SMA-0	If loan principal or interest unpaid for 1-30 days from its due date, then such loan account is classified as **Special Mention Account**-0.
SMA-1	31-60 days
SMA-2	61-90 days
Gross NPA (GNPA:)	- Gross non-performing assets = grand total of all NPA loans(कुल योग)
NET NPA	NET NPA (शुद्ध एनपीए) = GNPA Minus Provisioning WHAT IT MEANS? NOTIMP
Substandard asset	When loan account remains in the NPA classification for 12 months or more/> (रद्दी/घटिया परीसंपतिया- जब कोई लोन खाता 12 महीना या उससे ज्यादा एनपीए श्रेणी में रहे)
Doubtful Asset	When loan account in substandard classification for 12 months or more />
Loss Asset	When a bank, its auditor or RBI declares that given doubtful asset has little / no salvageable value. (नीलामी करके भी नुकसान भरपाई असंभव)

OTS with Haircut	For example, If bank allows the borrower to pay 60% of dues & forgoes 40% as loss, then bank has offered "One time Settlement (OTS) with 40% haircut" कर्ज का कुछ हिस्सा बैंक खुद ही नुकसानी समझकर माफ कर दे।
Evergreening of loans	When a borrower taking a new loan to pay off his old loan. पुराना कर्ज चुकाने के लिए नया कर्ज दिया जाए।

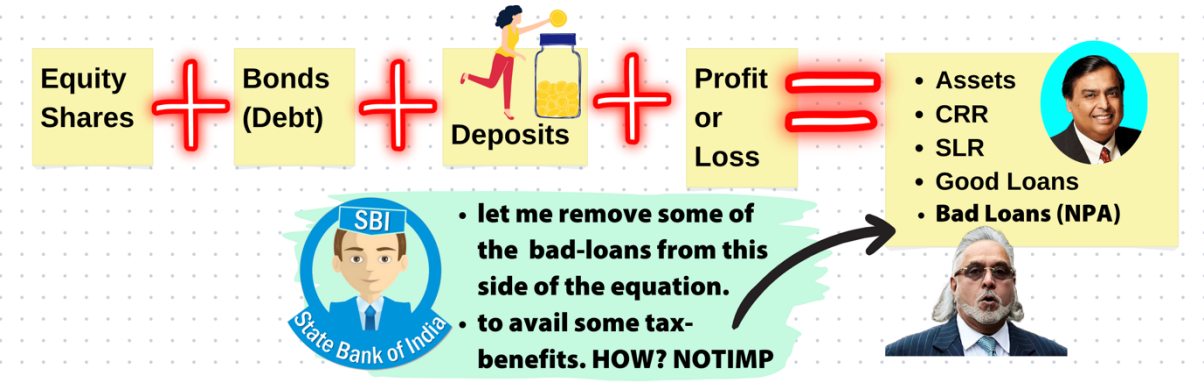
14.12.3 🔪📦 Provisioning- ECL framework from 2027

Loan provisioning means bankers are required to keep aside some funds to cover potential losses from defaulted loans. This reduces banker's profitability (bcoz funds got locked). This is separate from regular SLR/CRR.

Matter	Before	From 2027
RBI's loan provisioning formula	Incurred loss model	Expected Credit Loss (ECL)

Exact formula is not important, but the keyboard is important because sometimes UPSC asks one-liner from keywords.

14.12.4 Loan Write Off by banker to save taxes by deleting NPA from balancesheet.



- Loan write off= banker removes a loan amount from the 'asset-side' of the bank balance sheet, to save corporation tax (How? = we-are-not-here-for-CA-exam).
- Loan write-off doesn't waive bank's right to recover that bad loan, it's merely an accounting exercise for **tax-benefits.** (कराधान में कुछ रियायतों के लिए हिसाबी प्रक्रिया की जाती है। हालांकि ऐसा करने के बावजूद भी बैंकर कर्जदार से पैसा वापस तो मांग ही सकता है)
- **How does it help banker in tax savings?Ans.** Just Accept & move to next topic. ELSE watch my 9 minute video to understand it https://youtu.be/DzNBzhYw6EY?si=fisnWCODsPTx2YrZ
- Loan write-off↓ **reduces the NPA% of the Bank** (Because amount is written-off/cancelled from Bank's balance sheet)
- 2022-Dec: Govt told Parliament: Banks wrote-off loans worth Rs 11.17 lakh crore in last six years

14.12.5 🔪 Restructured Loans & Stressed Assets

Restructured loan	When principal / interest rate / tenure of the loan is modified. Banks may do it when borrower facing difficulty in repaying loans. (पुनर्गठित कर्ज / ऋण)
Stressed Asset	NPA + Loans Written-Off + Restructured Loans = Stressed Assets (तनावपूर्ण संपत्ति)

14.12.6 👻🤧🔪✋ ATMANIRABHAR → Loan/EMI/NPA relief / Moratorium

⇒ IF a loan is outstanding as of THEN **2020-March**: RBI allowed (optional) moratorium/ suspension of loan repayment for 6 months for March, April, May, June, July, Aug.

⇒ It WAS NOT compulsory to skip EMI. Borrower MAY repay loan regularly, if his financial situation was strong. (इन महीनों में किस्ते भरना वैकल्पिक होगा. वो आर्थिक रूप से सशक्त हो तो भर सकता है)

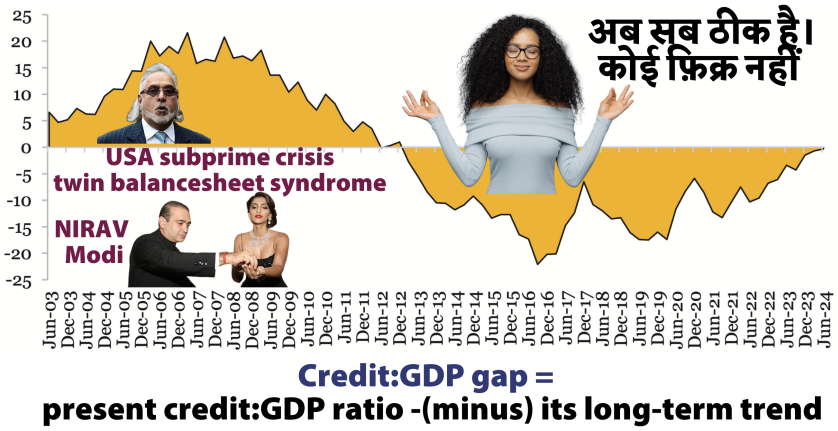
⇒ Loan was not 'removed/waived'. It was only temporarily suspended.

14.12.7 🐯🔪💊 RBI's various frameworks to deal with NPA/Bad loans

- "3R" Framework for Revitalizing Stressed Assets (2015-19)
- Prudential Framework for stressed assets (2019)
- Resolution Framework 1.0 and 2.0 (2020-21)

in above frameworks, basically RBI allowed lenders to (1) give extra loans to genuine cases 2) increasing loan tenure 3) ↓ loan interest rate. But **outdated topics for 2027, so removed from HDT**

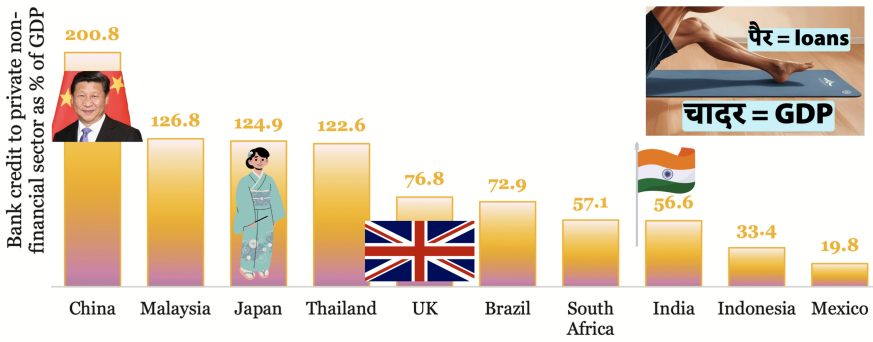
14.12.8 📘🔪 ES25: credit to GDP GAP



Credit:GDP gap =
present credit:GDP ratio -(minus) its long-term trend

- **Credit:GDP gap** = Present credit : GDP ratio minus its longterm trend.
- If this gap is positive or high or above the trendline = stress/crisis is looming. e.g. 2006–12 - how USA sub-prime crisis resulted into twin balance sheet syndrome in India where both Indian companies and Indian public sector banks balance sheet got stressed with huge NPA.
- If this gap is negative = room for growth. The banking sector is sustainable.

14.12.9 📘🔪 ES25: Bank Credit to GDP ratio - India vs others



India's bank credit : GDP ratio is lower than US, UK, and Japan. (Meaning those others nations are facing the risk of another economic crisis.) says Economic Survey

🆎❓ **'Scheme for Sustainable Structuring of Stressed Assets (S4A)' is related to: (Prelim-2017)**

a) procedure for ecological costs of developmental schemes.

b) ✅ scheme of RBI for reworking the financial structure of big corporates

c) disinvestment plan for Central Public Sector Undertakings.

d) Provision in 'The Insolvency and Bankruptcy Code'.

Answer is B. But we'll not study topic, scheme is discontinued, and topic outdated for **exam.**

🔠❓ **What was the purpose of Project Shashakt? (UPSC-Prelims-2019)**

a) To lessen the Government of India's perennial burden of fiscal deficit and current account deficit

b) To support the infrastructure projects of Central and State Governments

c) To act as independent regulator in case of applications for loans of ₹ 50 crore or more

d) ✅**To aim at faster resolution of stressed assets of ₹ 50 cr or more.** Answer is Option D. but now it is outdated current affairs so deleted from HDT.

14.13NPA, PROFITABILITY & CRAR (BASEL)- घी दूध की नदियाँ AS PER 📕ES26

Chart III.6: Trends in GNPAs of SCBs and CRAR

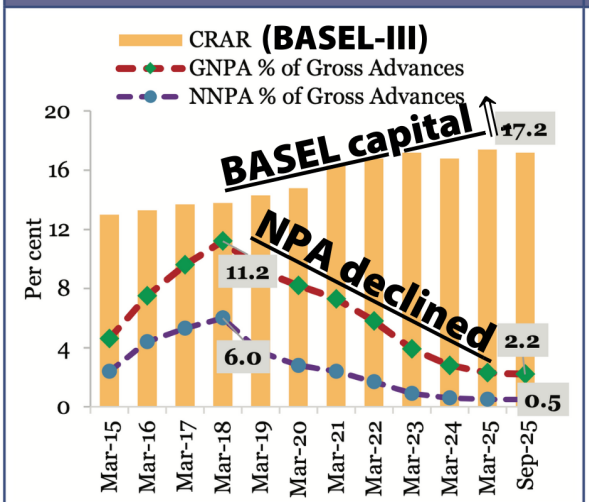
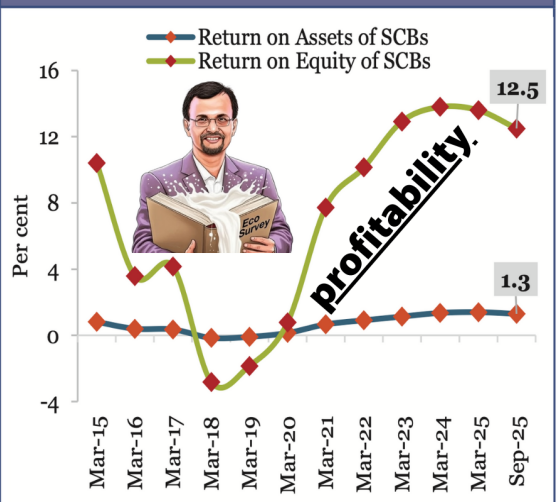


Chart III.7: Improvement in performance indicators of SCBs



14.14⚖️🔪 SARFAESI ACT 2002: ORIGIN, OBJECTIVE & LIMITATIONS

कर्ज नहीं चुकाया तो संपत्ति की जब्ती और नीलामी करने के लिए कानून

⇒ **1991: Narsimham-I** Committee on banking sector reforms observed that borrowers obtain stay orders from ordinary courts = banks have difficulty recovering NPA. So, Debt Recovery Tribunals (DRT: ऋण वसूली न्यायाधिकरण) were set up (1993)= ordinary courts can't interfere in the loan recovery process.

⇒ **1998: Narsimhan-II** Committee observed that DRTs need to be strengthened with a law, so, Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act enacted in 2002. [प्रतिभूतीकरण और वित्तीय आस्तियों का पुनर्गठन और प्रतिभूति हित को प्रभावी करने का अधिनियम 2002]

⇒ Under SARFAESI act, lenders can attach the mortgaged assets when loan is not repaid. They can change board of directors in such companies, can auction such assets, can also sell such assets to **Asset Reconstruction Companies (ARC, NBFC: परिसंपत्ति पुनर्निर्माण कंपनी).** [2021: RBI setup **Sudarshan Sen Committee** to suggest reforms for ARCs]

⇒ SARFAESI not applicable on farm loans. (कृषि ऋण पर ये कानून लागू नहीं होता)

⇒ If loan-defaulter wants to obtain a stay order, he cannot go to ordinary courts. He will have to approach for DRT. If DRT doesn't help then ⇒ higher appeal to Debt Recovery Appellate

Tribunal (DRAT: ऋण वसूली अपीलीय न्यायाधिकरण), but DRAT will require him to deposit minimum 50% of the loan dues (to discourage frivolous appeals). Higher appeal? Ans. High court.

14.14.1 ⚖️🔪👨‍💼💪 Which lenders have SARFAESI powers?

✓ All types of Banks- commercial and cooperative (सभी प्रकार के बैंको को मिलकत जब्ती की सत्ताएँ है)

✓ Housing Finance Companies (HFCs) e.g. DHFL.

✓ if an NBFC fulfills two conditions SIMULTANEOUSLY: (गैर बैंक वित्तीय कंपनियों को भी यह सत्ता है यदि)

- 1) The NBFC having asset size of ₹100 cr or more, AND
- 2) loan given is at least ₹20 lakhs.

✓ For example Bajaj Finserv, Reliance Capital, Muthoot Finance, IL&FS.

14.14.2 🐯⏫ RBI's SNFA framework on confiscated immovable property (2026)

- Specified Non-Financial Assets (SNFAs) - immovable properties that banks acquire when borrowers fail to repay loans. e.g. land, property (अचल संपतिया जो बैंक ने जप्त की)
- RBI's new rule: Bank can't resell SFNA to original borrower.
- Bank must dispose SFNA within 7 years .
- Bank must show SFNA separately from in their balancesheet - for transparency.

14.14.3 ⚖️💪Legal Rights of Loan Defaulter in SARFAESI Act

We'll not prepare Hindi term bcoz not imp for Mains.

Right	Description (You = owner/defaulter)
Right to ample notice	After account becomes NPA ⟶ Lenders must give you 60 days notice before starting auction.
Right to be heard	You can make a representation/appeal to the lender/bank manager during the notice period.
Right to ensure fair value	e.g. if bungalow's fair market value is ₹5cr, then lender can't start auction at ₹2cr.
Right to balance proceeds	e.g. if bungalow auction fetched ₹6cr and loan due was 5 cr only. THEN lender must return ₹1cr to you.
Right to humane treatment	Recovery Agents cannot harass you or your family members. They can only contact you between 7am and 7pm.

14.14.4 ⚖️🔪: 🤦🏾‍♂️Limitations of SARFAESI Act (मर्यादाए)

⇒ 😨The DRTs & DRATs are **understaffed**. 1 lakh+ **cases pending** (2016), so, case will go on for years, borrower remained in possession of asset. (जजों की कमी के चलते केस निपटान की प्रक्रिया बहुत धीमी है)

⇒ 😨This leads to erosion of asset-value (machinery, vehicles) even when DRT allows auction at a later time. (गाडी/ मशीन की जल्दी नीलामी नहीं होगी तो उसके मूल्य में गिरावट आती है- जितनी पुरानी गाड़ी, उतना कम दाम।)

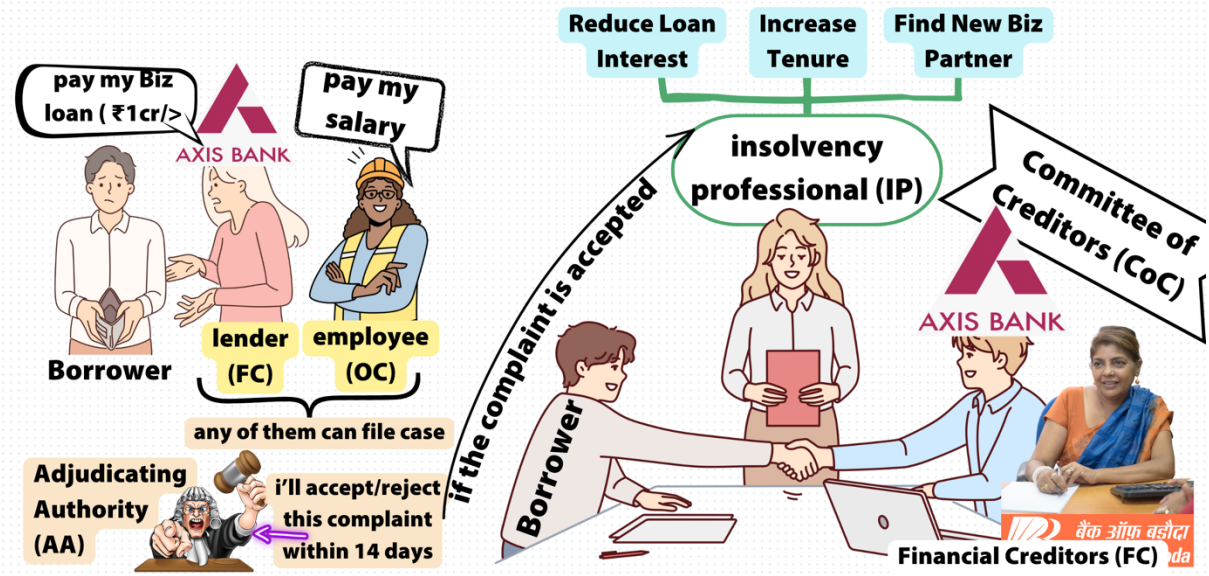
⇒ In some businesses, auction or liquidation may not yield the best returns for the banks e.g. hotel resort in remote area, where no other hoteliers are keen to invest. (हर प्रकार की संपत्ति की नीलामी में अच्छी बोली लगाने वाली मिल जाए यह जरूरी नहीं। कुछ बार मध्यम मार्गी समाधान बेहतर होता है)

⇒ In such cases, if the loans were restructured (i.e. reducing % interest rate, extending tenure, finding new partners), then banks could salvage more value. (इसलिए नीलामी की जगह अगर कुछ आपसी समझौता / बीच का रास्ता/ मांडवाली किया जाए तो बेहतर)

⇒ But, SARFAESI act **doesn't facilitate such arbitration** So, Govt. came up with a new law: IBC.

14.15 ⚖️🔪🤝 Insolvency and Bankruptcy (I&B) Code 2016

शोधन-अक्षमता एवं दिवालियापन संहिता 2016: कर्जदार का लेनदार के साथ समझौता/मांडवली करवाने के लिए



IBC code classifies creditors into two categories

A) Financial Creditors (FC) =	B) Operational Creditors (OC) =
banks, NBFC, bond & other debt security holders, + Home buyers. (वित्तीय लेनदार).	Suppliers, contractors, salaried employees etc. (कार्यसंबंधी लेनदार : जिन्होंने कंपनी को कुछ वस्तु/सेवा मुहैया कराई थी लेकिन उस पर पैसा बकाया है)
They can complaint under IBC code for recovery of due amount.	They can complaint under IBC code for recovery of due amount.
They can sit in the committee of creditors (CoC) for IBC proceedings.	They can't sit.

14.15.1 ⚖️🔪🤝 IBC Code: Appeal Structure

Borrower	**individual person or partnership firm**	**Company**
Their Biz is registered under	various laws like Shops and Establishments Act, Indian Partnership Act, 1932 etc.	Companies Act, 2013
Adjudicating Authority (AA) / first level ki courts	Debt Recovery Tribunal (DRT) dealing with SARFAESI Act	National Company Law Tribunal (NCLT) from Companies Act
Appellate Authority	National Company Law Appellate Tribunal (NCLAT) from Companies Act	National Company Law Appellate Tribunal (NCLAT) from Companies Act
NEXT Appeal	Supreme Court (SC)	SC

Note: different websites give different interpretation. I have made the table from IBBI Manual

14.15.2 ⚖️🔪🤝 IBC: Process for resolution

⇒ An Insolvency Professional (IP: शोधन-अक्षमता संबंधी पेशेवर) will make a resolution plan e.g. ↓ loan interest, extend loan tenure, or IP could even find another investor to finance the pending project etc. (पेशेवर लोन-पुनर्गठन की कोशीश करेगा कि जैसे ब्याज दर कमी, समयावधि में बढ़ोतरी, नया भागीदार ढूँढना)

⇒ IP will present the plan to Committee of Creditors (CoC: लेनदारों की समिति) madeup of the Financial Creditors (FC). In this Committee. FCs' voting power is based on amt of loans given by lender.

⇒ If x% of the FCs agree with such resolution plan, then it will be set in motion, **otherwise, IP will liquidate the assets to recover the loan.** (यदि वित्तीय कर्जदाताओं की समिति बहुमति से पुनर्गठन प्रस्ताव पारित न करे तो नीलामी/ परिसमापन)

⇒ 👛**Budget-2024**: since 2016, IBC has resolved more than 1,000 companies, & recovered over ₹ 3.3 lakh crore to the lenders.

14.15.3 ⚖️🔪🤝 Statutory bodies related to IBC

Org	Founded under Law	HQ
National Company Law Tribunal (NCLT)	Companies Act, 2013	Delhi. With benches in many cities.
National Company Law Appellate Tribunal (NCLAT)	Companies Act, 2013	Delhi
Insolvency & Bankruptcy Board of India (IBBI)	Insolvency and Bankruptcy Code, 2016	Delhi

14.16 🔪🥺|😤Insolvent vs Wilful Defaulter

Criteria	Insolvent /incapable defaulter (दिवालिया/ असमर्थ बकाएदार)	😤Wilful Defaulter (इरादतन कर्ज न चुकानेवाला)
Definition	A person /company incapable to pay off loans due to shortage of money.	A person/company has capacity to repay the loans BUT not repaying the loans
Eligible for Loan Restructuring? IBC कानून में लोन पुनर्गठन का लाभ मिलेगा?	Yes. But, IF his loan account is in NPA for more than a year, & he has no capacity to repay even partial loan amount, then no resolution will be done. His assets will be auctioned under SARFAESI Act.	NOT eligible. His assets will be auctioned under SARFAESI Act.
Can contest election / get Govt job/ become a judge?	Not allowed.	Constitution silent about this^^.

^^Bankers' Association has requested the Election Commission that wilful defaulters should not be allowed to contest election. (However, EC yet to take decision.)

14.16.1 🔪😤 Declare wilful defaulters within 6 months of NPA- says RBI Proposal

- 2012: Vijay Mallya stopped paying loans to banks. YET SBI didn't declare him wilful defaulter until 2017. (Meaning five years gone in paperwork / bureaucratic-laziness.).

- 2023: RBI proposal says banks shouldnot take so long time. Do this exercise within 6 months AFTER accounts become NPA.

14.16.2 🔪😈 Wilful defaulters: 6 characteristics by RBI

Wilful defaulter is a borrower who has the capacity to repay the loan but does not repay the loan. RBI listed six characteristics of such a person:

- 1. He deliberately does not pay the dues despite adequate cash flow and good net worth;
- 2. He is siphoning off funds from Company-A to Company B.
- 3. He did not use the loan money to purchase the asset (vehicle/factory/machine, etc.) as per the loan agreement; OR he sold such asset and siphoned the money.
- 4. He disposed/removed securities (collaterals) without the bank's knowledge;
- 5. He misrepresented/falsified the records; 6. He made fraudulent transactions.

14.16.3 🔪 Guarantor (ज़मानतदार)

- friend, relative, business associate etc who takes legal responsibility for a borrower's debt ke 'I will repay the loan, If this loan-applicant does not repay the loan."
- Every Bank loan doesn't require Guarantor. They're usually required in big size loan and/or borrower's credit score is not good enough

👩⚖️ Legal consequences for Guarantor, IF borrower fails to repay

- Guarantor as liable as loan defaulter.
- Bank can take action against Guarantor for loan-recovery of principal + interest
- Bank may confiscate/attach the bank accounts of Guarantor, his property etc. depending on case.
- if Guarantor fails to repay the loan, then it will downgrade his credit score/credit-rating also.
- **Note:** there is internal legal difference between the two words **Guarantor vs Co-Signer**, but we will not do PHD for MCQ

14.16.4 ⚖️🔪🤝:🤫 IBC Pre-Packs (पर्दे के पीछे जल्दी से केस सुलटा लेते है!)

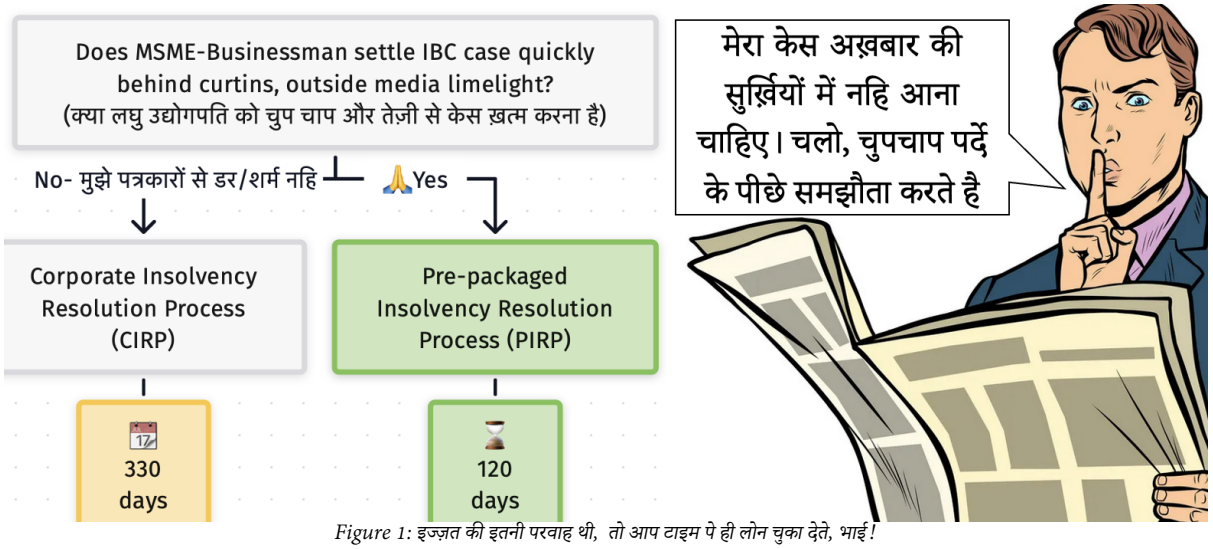


Figure 1: इज्ज़त की इतनी परवाह थी, तो आप टाइम पे ही लोन चुका देते, भाई!

⇒ **Pre-Pack System** is found in United Kingdom and the United States

⇒ IBC 2021 Ordinance (and later Amendment Bill) enabled this in India for MSMEs.

⇒ 2025- Note I've compressed this topic from handout, because now it is faded from current-affairs. So further PhD/FAQ on how it works = notimp. One liner knowledge is enough.

14.16.5 (⚖️🔪🤝) ATMANIRBHAR → IBC Ordinance/Act 2020 to suspend new cases

⇒ 2020: Govt issues ordinance to amend IBC Code. (अध्यादेश)

⇒ Corona = business is down, difficult to work out any resolution plan. So, No fresh case will be registered in IBC code for next **"X" months** Because Corona (नए केसों के दाखिले को स्थगित किया गया.)

⇒ "X" = 24 March 2021 ✋Exact dates notIMP

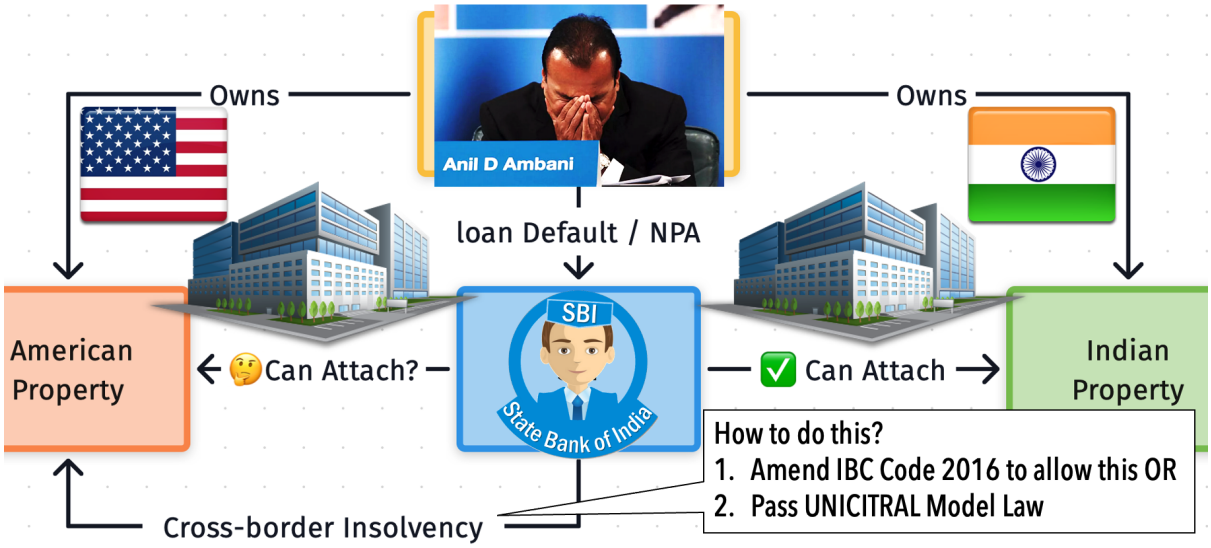
IBC Ordinance / Act 2020	BEFORE	AFTER
Case can be filed if loan default is.....	Minimum ₹1 lakh/>.	Minimum ₹1 crore/>**

- **So even after suspension is lifted, most of the small businessmen will be spared from IBC proceedings. (रोक हटाने के बाद भी नए केस दर्ज किए जाएंगे, तो सिर्फ बड़े लोन के लिए केस दर्ज किए जाएंगे)
- Govt launched schemes to help such borrowers. e.g. ECLGC. Ref: pill1D for more.

14.16.6 🔪⚖️ IBC Amendment Bill 2025- mostly technical, so ignoring

- It is mostly technical in nature, poor cost benefit preparing it.

14.16.7 (⚖️🔪🤝)有🌐 Cross-border Insolvency (सीमा-पार का दिवालियापन)



What does this chart mean? Watch video lecture.

14.16.8 🕵️‍♂️(⚖️🔪🤝) Insolvency and Bankruptcy Board of India (IBBI)

⇒ भारतीय शोधन-अक्षमता एवं दिवालियापन बोर्ड - वैधानिक संस्था

⇒ IBBI is the statutory body that monitors and implements I&B Code 2016.

⇒ IBBI's administrative control rests with Ministry of Corporate Affairs (कॉर्पोरेट मामलों का मंत्रालय).

⇒ It has 1 Chairman, 1 nominated member from RBI, 8 from Govt's side = total 10 people.

⇒ **1st chairman of IBBI**: M.S.Sahoo. Present Chairman: Ravi Mittal (2022). (अध्यक्ष)

⇒ Chairman has 5 years / 65 age tenure. Also eligible for reappointment (पुन:नियुक्ति संभव).

⇒ IBBI selects **Insolvency Professionals Agencies (IPAs).** These IPAs enroll and supervise the members practicing as Insolvency Professionals (IPs). Presently, 3 organizations given "IPA" status viz. 1) ICAI (Chartered Accounts) 2) ICSI (Company Secretaries) and 3) Institute of Cost Accountants.

14.16.9 👮‍♂️🔪IBBI → Information Utility

- IBBI also selects **Information Utility (IU: सूचना उपयोगिता संस्था)** organization to maintain **database of borrowers**.
- In 2017, **NeSL:** National E-Governance Services Ltd (owned by consortium of SBI, LIC etc.) was the first to get the IU status from IBBI. It is compulsory for lenders to share data with IU.
- 😍IU helps lenders in two ways:
- 😍 by looking @borrowers' credit history, lenders can make informed decisions about whether to give loan or not, and how much interest to charge?
- 😍 This database helps establishing documentary proofs during NCLT / DRT / judicial / liquidation proceedings. (कानूनी प्रक्रिया में दस्तावेजी सबूत मुहैया/उपलब्ध कराता है)

14.16.10 👮‍♂️(⚖️🔪🤝)Insolvency → Misc. Org: Indian Institute of Corporate Affairs

- IICA an autonomous body under Ministry of Corporate Affairs. (स्वायत्त संस्था)
- It has launched a two-year Graduate Insolvency Programme (GIP). स्नातक कार्यक्रम शुरू किया
- The student passing this program can register as IP, without the mandatory 10 years' experience.

14.17 🔪👩‍⚕️ IBC OBSERVATIONS FROM 📘ES25

14.17.1 🔪👩‍⚕️ IBC has increased forex hedging by borrowers says 📘ES25:

- Forex hedging= purchasing Insurance against currency fluctuations.
- Suppose an importer/ exporter taken business loan. And he suffers losses because of the currency exchange fluctuation.

before IBC	After IBC
He'd not buy Forex hedging out of his arrogance and care-free bcoz he knew Bank will not be able to recover his loan very easily due to judges shortage in SARFAESI Act.	he knows that he could lose control of his company under IBC. So he'd purchase Forex hedging/insurance to prevent losses.

- Thanks to IBC, now Indian exporting firms / exporters in India have better access loans. (because their arrogance has reduced and they are buying the Forex hedging so banker passing their loans quickly.)
- 🚩👶 **FAQ by Zhande-walle Babushone:** there is a NIRVIC scheme insurance guarantee on bank loans taken by exporters (Ref-pillar1D). so why would / why should they buy forex hedging? **Ans**. Bhai tum khud PHD kar lo the terms condition of NIRVIC. I am copy pasting what economic survey has written, without self-PHD.

14.17.2 🔪👩‍⚕️ IBC helped reducing bond credit spreads says 📘ES25:

- Bond credit spreads refer to the difference in yield between two bonds of similar maturity.
- normally calculated by comparing the company's Bond yield against the yield of G-Sec or Treasury Bond.
- Bond Credit Spread = Corporate Bond Yield - Treasury Bond Yield
- Higher Bond Credit Spread - may happen when investors feel corporate bond is more risky. (How? Watch the Video Lecture)
    - IBC helped reducing bond credit spread, bcoz now investors feel safer to stay in the Corporate Bonds, than in the past era.

14.17.3 🔪👩‍⚖️ IBC benefits - misc. by 📘ES25:

- IBC recovered ₹3.6 lakh crore from borrowers. (As of 2024-Sept.)
- improved the behaviour of the borrowers (how? learned in full length course)
- Even during economic slowdowns, RBI/government does not have offer massive-bailouts/relief packages to the bankers on loan-defaults. IBC has reduced the need for such costly interventions.

14.17.4 🔪👩‍⚖️ IBC Code - future suggestions by 📘ES25:

- NCLT tribunal needs to be more stringent dealing with frivolous complaints/petition. NCLT should impose high penalty on such litigants.
- IBC is designed to provide a non-adversarial process (i.e. not treating the borrower as a criminal, finding a middle ground, collaboration and reconciliation between the lender and the borrower.) But when case reaches NCLT tribunal, it becomes a battle between the lawyers of lenders vs borrower. So court procedures need to be improved.

14.17.5 🔪⚖️ IBC Code 2016- observations of 📕ES26- both +ve & -ve

😍🔪⚖️ Positive as per 📕ES26:

- S&P Global Ratings upgraded India's insolvency regime from 'Group C' to 'Group B' (2025)
- Borrower behavior has improved in repaying the loans.
- IBC Amendment Bill 2025 proposes cross-border insolvency & many technical **things.**

😢🔪⚖️ Negative as per 📕ES26:

- IBC Code aims to finish the process in 330 days but in reality it's taking 713–853 days.
- NCLT tribunal flooded with 30,000+ IBC cases. It will take 10 years to dispose of them.
- Out of 4500+ IP professionals, less than 50% are active.
- Pre-Packaged Insolvency resolution for MSME - very few settlements. Procedural complexity and lack of awareness.

14.18👛🔪 Budget-2025: on Loans/NPA

- NaBFID will set up a '**Partial Credit Enhancement Facility**' for corporate bonds for infrastructure. (e.g. if Adani unable to repay bond-holders, then NaBFID will cover x% loss of bond-holders aisaa kuchh we have to wait for the exact notification.)
- Public Sector Banks will develop '**Grameen Credit Score**' framework to help SHG members and villagers. (because for a middle class salaried city-employee, it is easy to get a good CIBIL/Credit rating score because all of his salary and past-loan transactions are routed through the bank accounts and available in the online records, but not so easily possible for SHG/Villagers- so they need a separate framework.)
- revamped **Central KYC Registry** will be rolled out in 2025. (KYC= know your customers)

Note: Budget-2025 also made some announcement related to loan limits for street vendors, farmers KISAN Credit card, MSME etc. But we will see that under pillar1D3 (financial inclusion.) The nature of 1B2/NPA is different.

14.19(⚖️🔪🤝)👋👋 Voluntary Liquidation of Companies

Liquidation is the process of shutting down a company. Two type of liquidations (परिसमापन दो क़िस्म) →

- ✓ 1) 🙋‍♂️ **Involuntary Liquidation**: Due to loan default → it can be conducted via I) IBC code or II) SARFAESI Act depending on the case. (अनैच्छिक परिसमापन- जब कंपनी दिवालियापन दिखा दे)
- ✓ 2) 🙅‍♂️ **Voluntary Liquidation:** when the owner has not committed any loan default but wants to shut down the business. Voluntary liquidation can be done through
  - A) sending application to the registrar of companies under Companies Act, 2013
  - B) sending application under the insolvency bankruptcy code.
- ✓ However Method-A is more popular than B at present. (स्वैच्छिक परिसमापन. कंपनी ने अभी तक कर्ज़ में दिवालियापन नहीं दिखाया लेकिन उसके धंधे/व्यापार में अच्छा भविष्य नहि दिख रहा इसलिए कम्पनी का मालिक ख़ुद की कंपनी स्वयं बंद करना चाहता है.)
- ✓ 👜 Budget-2022: we'll setup a Centre for Processing Accelerated Corporate Exit (C-PACE)- to faster voluntary liquidation / winding-up of the companies.

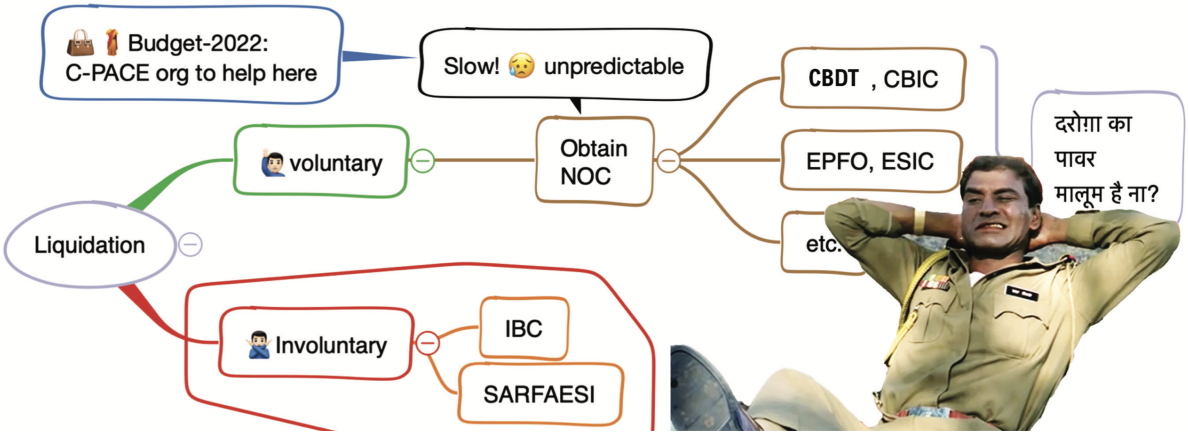


Image source: Movie Gangajal

14.20👁️🔍🔪💻- 🐯 CREDIT RATING / MONITORING- VARIOUS ORG/INITIATIVES

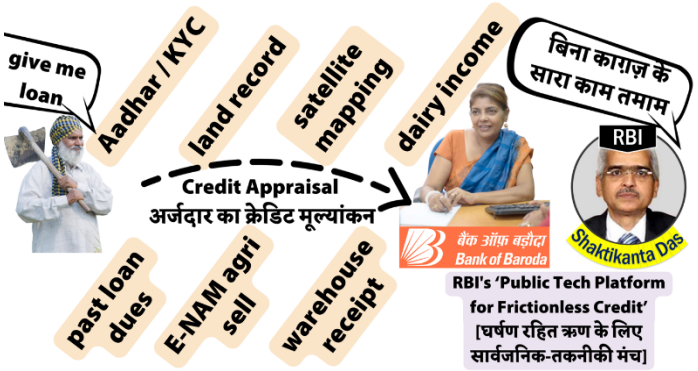
Following portals are meant to collect the information related to borrowers

Portal	Description
CIC and CRA	Learned in the previous section the previous session.
Information Utility (IU).	Created by Insolvency and bankruptcy board of India (IBBI) with help of National e-governance services Ltd (NeSL)
CRILC	RBI has setup "Central Repository of Information on Large Credits (CRILC)" for Loans above Rs 5 cr. Banks & NBFCs have to submit weekly updates in this portal.
Public Credit Registry (PCR)	Proposed by **RBI's** Yeshwant M. Deosthalee **Committee. RBI yet to set it up.** (ऋण की सार्वजनिक रजिस्ट्री)
NFIR	Proposed in the Budget 2023. <Next section>

14.20.1 👁️🔍🔪💻- 🐯 National Financial Information Registry (NFIR) in 👛Budget-2023

- ⇒ NFIR will be designed with help of RBI.
- ⇒ NFIR will contain info on both individual borrower and company borrowers.
- ⇒ NFIR will contain info on all the loans taken by them through banks,NBFCs,bonds, etc.
- ⇒ Thus, NFIR Will provide 360 degree information about a loan applicant's creditworthiness.
- ⇒ will help the lenders process the loan application in a more faster and accurate manner

14.20.2 🐅 RBI's Public-Tech Platform for Frictionless Credit (2023, घर्षण रहित ऋण)



- This portal will collect data from Central and State governments, account aggregators (Ref1B1), CRA-CICs (Ref1B1) and other organisations.
- This will make loan application approval/rejection faster for the lender.

14.20.3 🐯🔪 RBI's Unified Lending Interface (2024)

It is basically the old wine in new bottle. (i.e. Public-Tech Platform for Frictionless Credit.)

- Facility started for farmers and MSME borrowers.
- Will be later expanded to other category of borrowers.
- Who runs this portal? RBI's Innovation Hub at Bengaluru

🙋🏻‍♀️**FAQ: how is it similar or different than the past projects such as public credit registry or government's NFIR**? Ans. NOTIMP. Memorize & move to next topic.

14.20.4 👩🏻‍⚖️ eBkray auction platform / IBAPI (2019)

- It's a website for e-auction of assets attached by Public Sector banks.
- Also called: Indian Banks Auctions Mortgaged Properties Information (IBAPI)
- Boss? Indian Banks Association (IBA) with help of Department of Financial Services (DFS, under FinMin).
- Buyers can use eBkray/IBAPI portal to search and get properties details and participate in the auction process.
- Website also contains videos and photographs of the attached properties.

14.20.5 🔪 Baanknet - e-auction portal for Sarkaari Banks (2025)

- Public sector banks (PSBs) will list their loan-default-attached properties here for e-auction.
- making it easier for buyers and investors to identify valuable opportunities.
- Boss? department of financial services under finance ministry.

14.20.6 👩🏻‍⚖️ CEIB's Unified Automated Search portal for large borrower (2024)

- This website helps the Public Sector Banks to do background verification of the large borrowers. **Large borrower** = who wants to borrow over ₹50 crores.
- **Boss?** Central Economic Intelligence Bureau (CEIB- a body under FinMin) with the help of State Bank of India.
- CEIB collects the data related to economic offenses from other regulators/investigating agencies, e.g. SEBI (Securities and Exchange Board of India), ED (Enforcement Directorate), CBI (Central Bureau of Investigation), NIA (National Investigation Agency), SFIO (Serious Fraud Investigation Office), CBDT (Central Board of Direct Taxes), CBIC (Central Board of Indirect Taxes and Customs) etc.

14.20.7 👩🏻‍⚖️ IFTAS Cloud Computing Facility by RBI for Banks/NBFCs

- Indian Financial Technology & Allied Services (IFTAS) is a company 100% owned by RBI.
- 2024: It will provide a cloud computing facility for Indian Banks/NBFCs.
- 😍 **Benefits?** Security and privacy of Indian financial data compared to storing data on some cloud servers owned by foreign companies like Amazon-AWS, Microsoft-Azure, etc.

14.20.8 👩🏻‍⚖️ Reserve Bank Innovation Hub (RBIH) Repository

- Reserve Bank Innovation Hub is a company 100% owned by RBI.
- 2024: it will set up a digital repository (=database/knowledge-base) of essential information related to Blockchain (= Distributed Ledger Technology/DLT), Artificial Intelligence/Machine Learning (AI/ML), and other new technologies developed by Fin-Tech companies.
- 😍 **Benefits?** This will help (1) RBI to make better policies and (2) Banks/NBFCs/FinTech companies to come up with new innovative products.

14.20.9 👁️🗣️🔪💻- 🌐 Legal Entity Identifier (LEI) Number: (कानूनी इकाई पहचान संख्यांक)

Figure 2: विदेश मे नयी कंपनी बनाकर विदेशो की बैंकों को चुना लगाएंगे तो क्या उखाड़ लोगे?

- **Objective?** Even if a company is blacklisted by Indian banks, it could apply for loans overseas, and those overseas bankers may not be aware of company's history.
- So, there should be a global *"Aadhar card"* number for companies, and they must be forced to quote that number during every financial transaction.
- After USA's Sub-Prime Crisis and Global Financial Crisis (GFC), **the G20 and its Financial Stability Board (FSB:** वित्तीय स्थिरता बोर्ड**)** came up this LEI concept- a 20-digit alphanumeric code.
- LEI's Global Boss: Global Legal Entity Identifier Foundation (GLEIF), Frankfurt, Germany.
- LEI's Indian agent/Coordinator: Clearing Corporation of India.
- From 1/10/2022 RBI has ordered all companies undertaking crossborder transactions of Rs 50 crore or more to quote this number in financial transaction.
- RBI has power to issue such directives under: Payment and Settlement Systems Act, 2007 & Banking Regulation Act 1949. (वित्तीय लेन देन के दौरान कंपनी ने अनिवार्य रूप से ये नंबर लिखना होगा)

14.21 🔪有🏃🌐- ⚖️ Fugitive Economic Offenders Act, 2018

Figure 3: देश छोड़ के भाग जाऊंगा, 9 लाख का लेधर जेकेट पहेनके लंडन की गलियो मे घूमूँगा, तो क्या उखाड़ लोगे मेरा?

This act targets economic offenders accused of cheque dishonor, loan / investment / chit-fund scam, money laundering etc. worth **₹ 100 crores />** & left India to avoid facing prosecution / arrest.

- Special courts under the PMLA (Prevention of Money-laundering Act, 2002) will order the villain to appear within 6 weeks, if not then he is declared "Fugitive Economic Offender" ⟹ His

Indian & Overseas & Benami properties will be attached (भगोडे आर्थिक अपराधी की भारतीय तथा विदेशी संपत्तियों को जप्त किया जाएगा).

- Once property attached- the Union Govt will oversee its administration / liquidation (नीलामी/परिसमापन).
- No ordinary civil court / tribunal can give stay order. Villain can make appeal only in High Court and Supreme Court. (भगोड़ा आर्थिक अपराधी केवल उच्च न्यायालय और सर्वोच्च न्यायालय में जाकर मदद मांग सकता है).

14.21.1 Bankers can't issue Look Out Circulars (LOCs) says Bombay HC

- Look Out Circulars (LOCs) are issued by the of the Ministry of Home Affairs (MHA)'s Bureau of Immigration. (गृह मंत्रालय किसी भी विदेश जाने से रोकने के लिए लुक आउट परिपत्र जारी करता है)
- To prevent any person from leaving India thru any sea/land/airport.
- Bombay High Court ruled public sector banks (PSBs) cannot recommend or request the issuance of Look Out Circulars (LOCs) against loan defaulters. (बेंकर ये परिपत्र नहीं जारी कर सकते।)
- Court held that the fundamental right to travel abroad cannot be curtailed by executive action without any law or court order. (यात्रा का बुनियादी अधिकार, बिना क़ानून/कोर्ट आदेश के नहीं छीन सकते।)

14.21.2 🔪🌐 India joins CARIN Asset Recovery group (2024)

- CARIN Network: Camden Asset Recovery Inter-Agency Network to forfeit criminal proceeds worldwide. (CAMDEN = area in London, UK)
- CARIN is an informal group of over 50 nations.
- India's Enforcement Directorate has joined this group
- This will help in tracing movable and immovable assets related to criminal activities of Dawood, Vijay Mallya, Nirav Modi, Mehul Choksi etc.

If Borrowers don't repay, SARFAESI auctions give little recovery, CRR-SLR insufficient to repay deposits then bank collapse imminent. Then, how to protect the depositors? →

14.22 🤵‍♂️🏦💸👱 DICGC Act: Objective & Limitations

- 1961: Deposit Insurance and Credit Guarantee Corporation Act - mandates that all types of banks must buy insurance on their deposit accounts from DICGC. Banks have to pay premium for this insurance. (निक्षेप बीमा और प्रत्यय गारंटी निगम: प्रत्येक बैंक ने अनिवार्य रूप से अपनी जमाकर्ताओ की डिपोजित को बीमें द्वारा सुरक्षित करना होगा)
- DICGC is 100% owned by RBI. RBI Dy. Governor acts as chairman of DICGC. HQ: Mumbai.
- When a bank shuts down, DICGC will pay **insurance** to every deposit holder for his principal and interest. (यदि बैंक बंद हो गया तो जमाकर्ता के नुकसान की भरपाई यहां से होगी)
- 2021: Govt introduces Deposit Insurance & Credit Guarantee Corporation (Amendment) Bill →

BEFORE (सुधार/संशोधन विधेयक से पहले)	AFTER REFORM (सुधार पश्चात)
Upto ₹1 lakh deposit insured	Protection increased upto Rs 5 lakh
When will depositors get back above amount? No clear timelines. Often they had to wait for many years (पैसा/मुआवजा कब आएगा उसकी समय सीमा तय नहीं थी)	When RBI imposes (withdrawal) moratorium on a weak bank → within 90 days of that event, DICGC will pay depositors. (रिज़र्व बैंक जब कमजोर बैंक में से ग्राहकों के पैसे उठाने पर रोक लगाए उसके 90 दिनों के भीतर ही मुआवजा मिल जाएगा)
Banks had to pay premium/fees to DICGC at	DICGC can ⏫increase the premium fees to ₹12

BEFORE (सुधार/संशोधन विधेयक से पहले)	AFTER REFORM (सुधार पश्चात)
the rate of ₹10 paise to insure every ₹100 worth of deposits. (बैंको ने हर ₹100 के डिपॉजिट का बीमे के लिए 10 पैसे की बीमा किस्त/फीस देनी होती थी)	✋Exact figures NOTIMP. (बीमा किस्त में बढ़ोतरी की गई)
All types of Banks covered But NBFCs not covered.	Same as left side cell.

- Previously, DICGC provided guarantee cover to bank on the loans granted to Priority Sector Borrowers. E.g. if Micro enterprise owner did not repay PSL-loans → DICGC would cover losses of the banks, hence its name contains the word '*Credit Guarantee Corporation*'.
- But, with formation of SIDBI (1990), National Credit Guarantee Trustee Company Ltd. [NCGTC, 2016] etc, this credit guarantee work divided among many organizations (REF:📄 Pillar#1D), but we need not PHD over it.#🕰️थोड़ा-पढ़ो-आगे-बढ़ो

14.22.1 🏦🚭 DICGC : Risk Based Premium Framework? (2025 Proposal)

Present	RBI proposal
Every banker is required to pay 12 paise premium to protect every ₹100 of deposit.	RBI proposes disciplined banks should be required to pay a less premium, while risky/indisciplined banks should be paying a higher amount of premium, and (लापरवाह बैंकों पे प्रीमियम बढ़ाने के RBI का इरादा है)

Aug-2026: Not implemented yet.

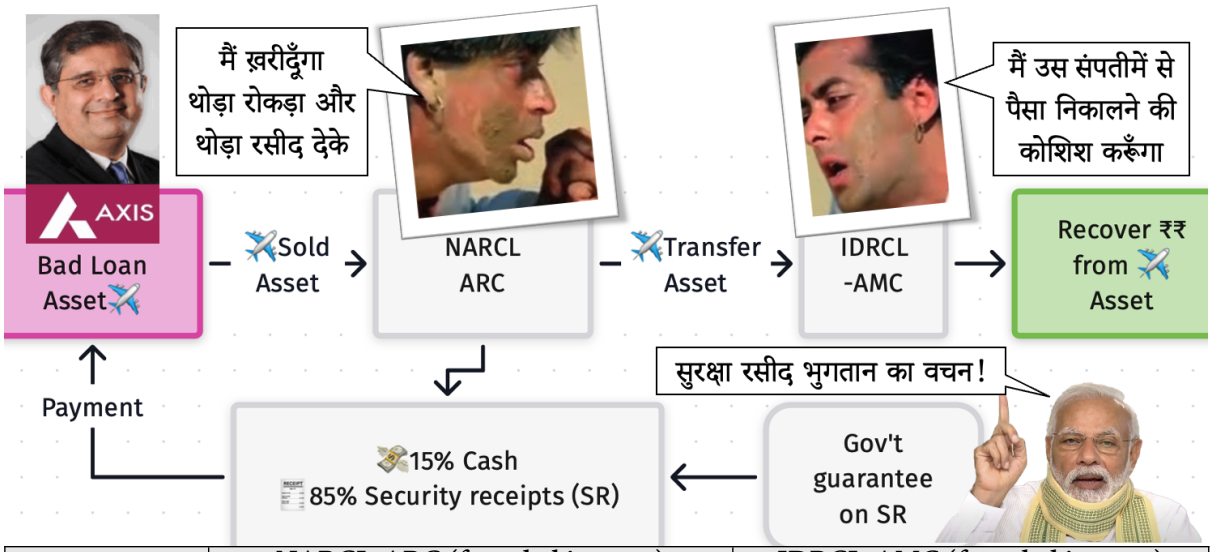
14.22.2 🕵️‍♂️🏦💸👳- 👎 Limitation of DICGC (मर्यादाएँ)

- 😨If a customer deposited more than ₹5 lakh in a single commercial / cooperative bank, then he gets only ₹5 lakh from DICGC. And for the remaining amount he must wait till RBI / Cooperative Registrar liquidates the bank. (📄Ref 1B1: Banking Regulation Ordinance 2020)
- 😨DICGC doesn't cover PACS and NBFCs. Those victims may have to approach courts.
- 2002: UTI (a Govt owned mutual fund company) made big losses. DICGC not liable to protect UTI-clients because it is NOT A BANK. So, Govt had to pay ₹14,500 crores (of tax payer's money) to customers of UTI-Mutual Fund.
- So, Financial Sector Legislative Reform Commission (FSLRC: वित्तीय क्षेत्र विधायी सुधार आयोग) under Justice B.N. **Srikrishna** (2011-13) recommended a new org called **Resolution Corporation** (RC) via -Financial Resolution and Deposit Insurance (**FRDI**) Bill/law. (DIGCG को बंध कर एक नयी संस्था बनाने का सूजाव)
- Govt had proposed the **FRDI** bill in 2017, but too much opposition in media & public, so withdrew it in 2018. It's a defunct/outdated topic.. #🕰️थोड़ा-पढ़ो-आगे-बढ़ो

14.23👩🔧(🏦🔪💀) Bad Bank (NARCL, IDRCL-2021)

⇒ Examples of such bad banks in other countries- **Danaharta** in Malaysia, **UKAR** in UK.

14.23.1 👩🔧(🏦🔪💀): 🧬 Bad Bank Structure



	NARCL-ARC (founded in 2021)	IDRCL-AMC (founded in 2021)
Type	Asset Reconstruction Company (ARC) परिसंपत्ति पुनर्गठन कंपनी	Asset Management Company (AMC) परिसंपत्ति प्रबंधन कंपनी
Full Form	National Asset Reconstruction Company Limited (NARCL)	India Debt Resolution Company Ltd. (IDRCL) =
Type	Registered company under companies act. (So not a statutory/constitutional body). Given license by RBI for ARC.	Registered company under companies Act. (ये कोई वैधानिक या संवैधानिक संस्थाएं नहीं है)^^
Function	To purchase bad loan assets from banks. (यह बैंकों से अनर्जक परिसम्पत्तियां ख़रीदेगा)	To manage/value addition/ auction those bad loan assets which were purchased by NARCL. (e.g. factory, airplanes, bulldozer). (ख़रीदी हुई संपत्तियों का प्रबंधन, मूल्य वर्धन, नीलामी करेगा)
Ownership/ Shareholding	⇒ 51% PSBs like SBI, BoB, PNB** ⇒ 49% by Pvt banks and NBFCs#	⇒ 49% (Public Sector Banks, NBFCs) ⇒ 51% (private sector bank, NBFCs).#
Tenure	This organization will exist for five years.	Same as left cell

** NARCL Ownership 51% shareholding/ownership among 8 public sector banks (PSB) viz. SBI (13.17%), Punjab National Bank (12%), Bank of Baroda, Canara Bank, Bank of Maharashtra, Union Bank of India, Indian Bank, Bank of India. (Note: Future Some of these PSBs may get merged so the % may change.)

FAQs:

⇒ #what are their names? Ans. Not explicitly mentioned in Pressnote. #🕰️थोड़ा-पढ़ो-आगे-बढ़ो

⇒ ^^AMC got license from RBI or SEBI? Ans. Same as above

⇒ Bad Bank means "ONLY NARCL" or (NARCL+IDRCL) Ans. Same as above. But from how 📙📙ES17 had given the vision of Bad bank, it should be the combined work of (NARCL+IDRCL)= Bad Bank.

14.23.2 👩🔧(🏦🔪💀) Bad Bank: 💳 functioning, benefits etc

Refer above chart & video lecture. I'm compressing text-writeup as topic has faded from news.

14.24🐯🗡️👹🔫💬✋ Prompt Corrective Action (PCA) Framework

Under PCA framework, RBI classifies the scheduled commercial banks (SCB) into **Risk threshold** #1, #2, #3 based on its capital, loan-asset quality etc. Higher the number, higher the risk. Then, accordingly, RBI will take corrective actions such as: (जोखिम के हिसाब से बैंकों को वर्गीकृत करता है)

⇒ RBI giving strict warning, conducting deeper audit & supervision. (ज्यादा कड़ी निगरानी)

⇒ Restricting bank's directors' salaries and dividend distribution to its investors. (वेतन, लाभांश वितरण पर रोक)

⇒ Restricting bank's branch expansion & lending operations. (शाखा विस्तार और ऋण देने पर रोक लगाना)

⇒ Forcing merger / shutdown (under Banking regulation Act 1949). (कमजोर बेंक को बंध करना)

If a PCA-listed bank wants to get '**whitelisted**', it'll have to ↓ its NPA, obtain additional capital, ⏫its profitability. (सूची से बाहर निकलना है तो अनर्जक संपत्तियों में कमी, ज्यादा पूंजी बटोरनी होगी, ज्यादा मुनाफा लाना होगा)

⇒ PCA is "Monetary Policy → Qualitative / Selective Tool → Direct Action". (मौद्रिक नीति → गुणात्मक → सीधी कार्यवाही का यह एक साधन है)

⇒ As of 2020-Feb: 4 PSBs in this list viz. Indian Overseas Bank (IOB), Central Bank of India, UCO Bank and United Bank of India. ✋Dynamically changing info so we need not remember.

14.24.1 🐯🗡️👹🔫💬✋ RBI's Prompt Corrective Action (PCA) for NBFCs

(ग़ैर बेंक वित्तीय कंपनीयो के लीए त्वरित सुधारात्मक कार्रवाई)

⇒ 2022: RBI to monitor NBFCs using 3 indicators/parameters: - 1) Non-Performing Assets, - 2) BASEL-capital adequacy ratio - 3) BASEL- Tier 1 capital. (What do they mean? NOTIMP)

⇒ Accordingly, RBI to classify the NBFCs in risk category#1-2-3. (जोखिम के हिसाब से वर्गीकरण)

⇒ Higher risk → higher restrictions e.g. ✋1) restriction on branch expansion ✋2) halt on dividend distribution, ✋3) NBFC owners will be asked to infuse capital in NBFC etc. etc (ग़ैर बेंक वित्तीय कंपनी में जितना ज़्यादा जोखिम → तो उतनी ज़्यादा पाबंदिया रिज़र्व बेंक उसपे डालेगी)

⇒ ✅ applicable on deposit-taking-NBFCs (e.g BajajFinServ).

⇒ ✅ Applicable on government-owned non-banking financial companies as well such as PFC, REC, IRFC and IFCI.

⇒ ✋🧯 Not Applicable on primary dealers, housing finance companies (HFC), non-deposit taking NBFCs (e.g. ILFS). Note this is dynamically changing info on which NBFCs are added / removed.

14.24.2 RBI's Scale-Based Regulatory Framework (SBR) & Upper layer NBFCs?

- 2022: RBI started a Scale-Based Regulatory Framework (SBR) for regulation of NBFCs.
- RBI categorized NBFCs into various layers and increased strictness over them as we move from bottom to top.

Known as	Extra comments, if any
Base Layer	Lowest Layer
Middle Layer	Middle Layer
NBFC – Upper Layer (NBFC-UL)	Before: complex parameter criteria to classify an NBFC here. **But 2026-** new classification criteria: if NBFC has asset size of ₹ 1 lakh cr or more, it'll be added here. e.g. LIC Housing Finance, Muthoot Finance etc
Top Layer (TL)	empty but in future, RBI may add companies into it.

- Middle layer and upper layer are considered to be systemically significant NBFCs.
- RBI to review this classification every three years.
- Government-owned NBFCs are exempted from certain strict rules, even if they fall under upper layer classification.
- **Controversy?** Now, Tata Sons company qualifies as NBFC-UL, but or not? And accordingly, will Tata Sons have to get listed at stock exchange or not? Experts are divided in opinions as of 02_Aug_26. We need not lose sleep over this business-GK, but if you want to do the PhD here is the shorts for you https://www.youtube.com/watch?v=HjdgRTUrmqY

14.24.3 RBI 's Supervisory Action Framework (SAF) for Urban Co-operative Banks

Outdated topic. Deleted from handout. If preparing for RBI-officer exam then Google it.

14.24.4 RBI'4-tiered regulatory framework for urban cooperative banks (2022-Dec)

Tier	Deposit Range (शहरी सहकारी बैंकों के लिए 4-स्तरीय नियामक ढांचा)
1	Up to ₹100 crore
2	₹100 crore - ₹1000 crore
3	₹1000 crore - ₹10,000 crore
4	Above ₹10,000 crore

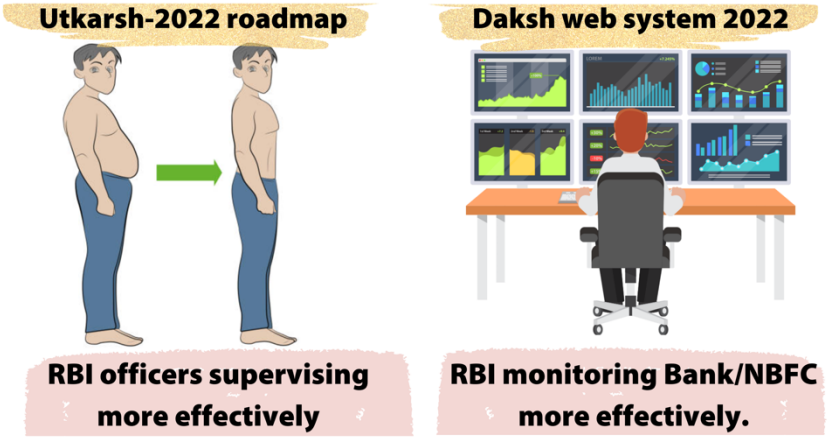
Higher the tier e.g. 3-> 4 = stricter RBI norms under BASEL-III. What/HOW exactly? NOT IMP.

14.24.5 : Regulations Review Authority (RRA 2.0)- for Ease of implementing RBI rules

- RBI has setup RRA 1.0 (in 1999, for one year) and RRA 2.0 (in 2021, for one year)
- Chairman: RBI's Dy. Governor M Rajeshwar Rao. Who are other members? NOTIMP.

- Objective: To give suggestions to RBI to simplify its rules/regulations so Bank/NBFCs have ease of doing business. (नियंत्रण समीक्षा प्राधिकरण जो कि रिज़र्व बैंक को सुझाव देगा कि कैसे रिज़र्व बैंक के नियमों में सरलीकरण किया जाए ताकि उनके अनुपालन मे बेंक और एनबीफ़सी को आसानी रहे।)

14.24.6 🐯: 🦋 RBI supervision: Utkarsh-2022" roadmap



⇒ 2019 July: Dy. Gov Viral Acharya Committee → RBI board approved 3 year medium term framework to improve RBI regulation & supervision, based on global best practices = "**Utkarsh-2022**" roadmap. (वैश्विक मानदंडों का अनुसरण करते हुए रिजर्व बैंक की नियंत्रण और निगरानी करने की प्रणालियों में अगले 3 सालों में सुधार करने के लिए उत्कर्ष कार्यक्रम)

14.24.7 Digital lending norms by RBI (2022-Nov)

⇒ A lending/Loan Service Provider (LSP) is financial technology (Fintech) company that connects borrowers with lender (Banks & NBFCs). e.g. Lazypay, Bank Bazaar, Paisa Bazaar

⇒ LSP helps the customer get the loan digitally.

⇒ RBI has issued guidelines to regulate this 'digital lending' market.

Exact guidelines are not important. Sufficient to know that RBI requires

⇒ 1) exorbitant interest cannot be charged.

⇒ 2) Such organisations have to appoint grievance redressal officers & clear the complaint within stipulated time limit.

कुछ वित्तीय प्रौद्योगिकी (फिन-टेक) कंपनियां एक तरफ़ कर्ज़ लेने वालों को, और दूसरी तरफ़ बैंक- एनबीएफसी के साथ डिजिटल माध्यम से जोड़ती है। इस डिजिटल कर्ज़ प्रणाली पर रिज़र्व बैंक कुछ सख़्तिया कर रही है।

14.24.8 Digital lending → FIRST LOSS DEFAULT GUARANTEE (FLDG) norm by RBI

Requires FinTech companies to cover some of the Banker's, IF borrower defaults on the loan.

14.24.9 Digital lending → Digital lending Apps public repository by RBI (2024-Aug)

- This RBI-portal will contain list of approved digital lending/loan apps.
- If a particular loan-app is not listed here= it is an illegal app. Borrowers should avoid it.

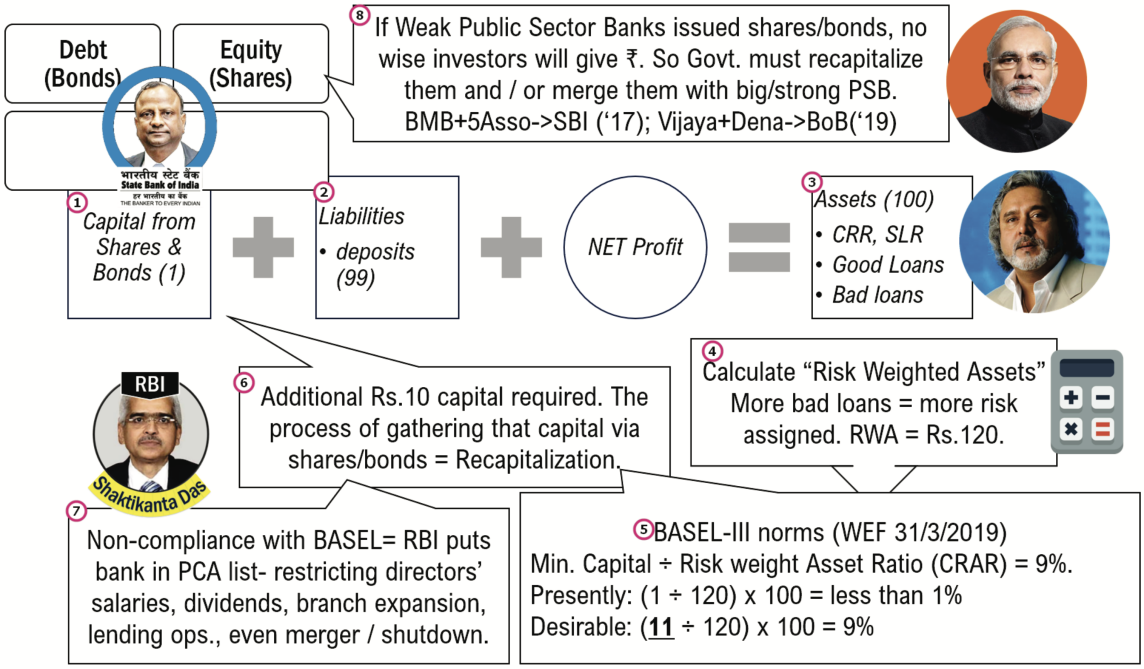
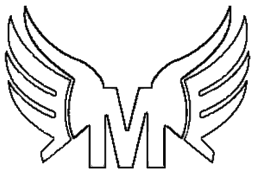


Figure 5: We need not bother with Tier-1 Tier-2 Capital etc, #थोड़ा-पढ़ो-आगे-बढ़ो

14.25 BASEL-III Norms (बेसेल-3 मानदंड)

Bank for International Settlements (BIS) is an international institution made up of 60 countries' Central Banks. HQ @ BASEL, Switzerland. Its committee on banking supervision set norms in 1988 (I), 2004 (II), 2011(III) to ensure global financial stability. (वैश्विक वित्तीय स्थिरता के लिए मानदंड की समिति ने)

- From 1/4/2013, RBI began phased implementation of BASEL-III norms in India:
- First, a bank needs to calculate its Risk-Weighted Assets (RWA: जोखिमपूर्ण संपत्ति).
- Against these RWA, (Universal) Scheduled Commercial Banks (SCB) must keep:
    - "Minimum Capital to Risk Weighted Assets Ratio" (CRAR) at 9% or higher from 31/3/2019.



- "a%" Capital Conversation Buffer (**CCB**) from XX date..
- "b%" Counter Cyclic Capital Buffer (**CCCB**): whenever RBI notifies.

- "c%" Leverage ratio (LR), "d"% Net Stable Funding Ratio (NSFR),
- "e%" High quality liquid assets (HQLA); "f%" Liquidity Coverage Ratio (LCR)
- and so on…many things.

✋**FAQ. How exactly do CCB, CCCB, LR, NSFR, HQLA, LCR etc work?** Ans. Not important for exam, beyond the basic 'word-association' that they're related to BASEL

⇒ Each member country's Central Bank can prescribe different %, ratios depending on their country's situation. (हर देश की केंद्रीय बैंक अलग-अलग दिशा निर्देश जारी कर सकती है)

⇒ As Bad loans (NPA) ⏫ = bank's asset quality degrades ↓ = its Risk-weighted assets (RWA) ⏫ → bank must arrange more capital to comply with these ratios, norms and buffers.

⇒ If a bank can't comply with BASEL norms → RBI puts it in PCA list. In worst case, bank will have to merge/ sell off its business to another bank or shut down. (इन मानदंडों को नहीं माना तो अंत में बैंक बंद हो सकता है)

⇒ BASEL Norms also apply on Differential Commercial Banks (LAB, RRB, SFB, PyB), Cooperative Banks, AIFI (EXIM, NABARD, NHB, SIDBI) and certain category of NBFCs, but RBI can prescribe separate norms / limits / deadlines for them. (विभिन्न प्रकार की वित्तीय मध्यस्थ ऊपर संस्थाओं पर इन मानदंडों की सीमा अलग-अलग हैं)

🔠❓ **What is the objective of BASEL-III norms? (UPSC-Prelim-2016)**

a) Develop national strategies for biological diversity.
b) reduce the GHG emissions but places a heavier burden on developed countries.
c) transfer technology from developed Countries to poor countries to replace chlorofluorocarbons in refrigeration.
d) improve banking sector's ability to deal with financial and economic stress and improve risk management.

🔠❓ **Basel Convention provides: (UPSC-IES-2020)**

(a) Indian standards for pollution measurement and prevention
(b) ✅ International guidelines to control the transboundary movements of hazardous wastes between different countries
(c) Indian standards for the disposal of municipal and industrial wastes
(d) International standards to categorize pollution in air and wastewater

14.26🐅🔪 RBI INCREASING CRAR ON BANK/NBFCS' UNSECURED LOANS (2023)

- Under the BASEL-III norms, RBI requires all banks and certain categories of NBFCs to keep capital in proportion to their risk-weighted assets (RWA). [बासेल मानदंडों के हिसाब से बैंक व चुनिंदा एनबीएफसी ने अपनी जोखिमपूर्ण सम्पत्तियों के अनुपात में कुछ मात्रा में अतिरिक्त पूंजी रखनी होती है।]
- 2023: RBI increased the Capital to risk-weight asset ratio (CRAR) as following graphics:
- Numbers are not imp, but sufficient to know that RBI can finetune these weights to control economy e.g. 2025- some of these weights reduced to help bankers and economy.

- 🙋‍♀️FAQ: do I have to memorize everything? Yes, if preparing for RBI Grade B Officer. Otherwise, for IAS exam, it is enough to know that risk weight was increased for some loan categories.
- Note: in the paid class, i'll only explain the crux required to pass the MCQs, in a few minutes. If you're very weak in studies/comprehension then Watch the detailed 20 minutes YouTube video at: https://youtu.be/n2aNCIP9AlQ?si=exLz7YVvt9DV3uIf

Bank's Asset Type	Amount (A)	Old Risk Weight (B)	Risk Weighed Assets (RWA) = A*B	New Risk Weight (N)	Risk Weighed Assets (RWA) = A*N
Bank Loan to consumer	100	100%	100	125%	125
Bank Loan to NBFC	100	100%	100	125%	125
Bank Credit Card	100	125%	125	150%	150
Total ASSETS	300		325		400

14.26.1 🐂🔪😰 Implications of higher CRAR

- It will make the bank/NBFC more prudent and careful while approving loans. (अंधाधुंध लोन पास नहीं करेंगे। कोताही रखेंगे।)
- Higher risk weight = higher capital requirement → then accordingly the bank/NBFC will make the loan expensive to cover the cost of capital. (अतिरिक्त पूंजी लाने के लिए उनकी लागत ख़र्च बढ़ेगी उस हिसाब से वे लोन के ब्याज दर भी महँगी कर देंगे।)
- It may increase loan interest rate for borrowers by upto 4%.
- It will decrease the profitability of banks/NBFCs (due to cost of additional capital). (अतिरिक्त पूंजी की लागत ख़र्च के चलते मुनाफ़े में भी कमी आएगी।)

14.26.2 🌐🏦👮‍♂️ BASEL-III norms: Capital Tiers

BASEL-III norms require banks to keep capital against their risk weighted asset ratio. This capital is subdivided into various tiers.

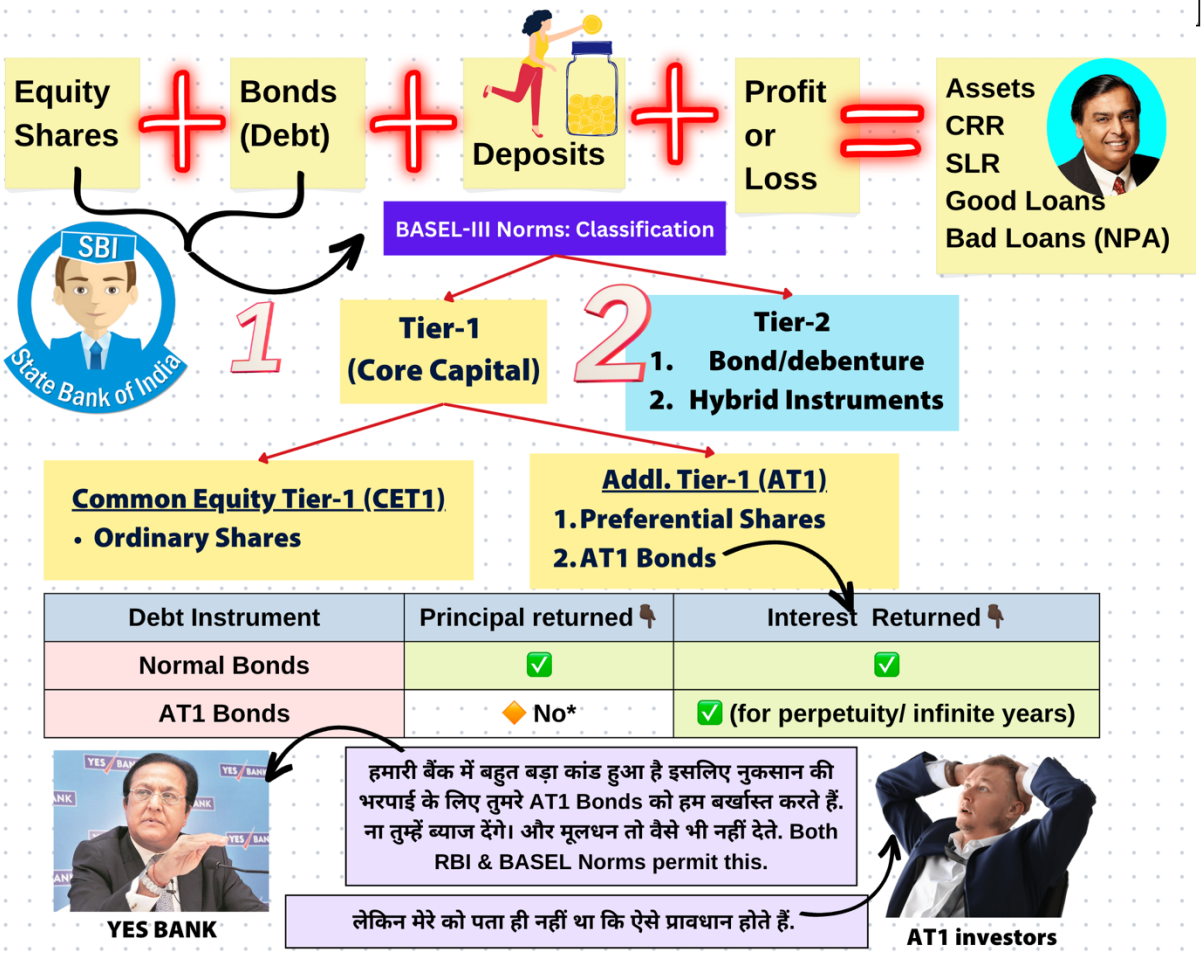
14.26.3 🔪💳👰‍♂️Additional Tier 1 (AT1) Bonds

They have no maturity date (i.e. bank has to pay interest for infinite time / perpetuity and principal will not be returned). However, bank may 'buyback' them after certain years.

If / when a bank makes huge losses → AT1 Bonds' liability may be

A. written off (खारिज कर देना) OR
B. converted into shares (process called 'Bail-In').

AT1 Bonds are in news due to **loan-scam/mis-selling in Yes Bank & HDFC (2026).** What exactly is that scam? =NOT-IMP.



14.26.4 🔪💳👰♂️Zero Coupon Bonds – ref Pillar1C

⇒ Ref: Pillar1C- Sharemarket.

14.26.5 🌐👨‍💼♀️ D-SIB: Domestic Systematic Important Banks

⇒ In 2010, G-20's brainchild Financial Stability board (HQ: BASEL) asked countries to identify Systematically Important Financial institutions and put framework to reduce risk in them. [Side note: Same parents responsible for birth of Legal Entity Identifier (LEI)]

⇒ Each year, RBI identifies banks that 'too big to fail' (=if they fail, it'll severely hurt the economy)' and labels them as Domestic Systematic Important Banks (D-SIB), & orders them keep additional equity capital against their Risk Weight Assets (RWA) & other technical norms.

⇒ Presently, 3 D-SIBs in India: SBI, ICICI, HDFC (Latest Entry).

14.27🐯🤧: BASEL NORMS/DEADLINES POSTPONED/SUSPENDED IN CORONA

self-explanatory from the topic-title itself. (कुछ मानदंडों की अंतिम तिथि को टाल दिया गया।)

We need not loose sleep over new deadlines, as they may again get extended. #🕰️थोड़ा-पढ़ो-आगे-बढ़ो

14.28 BANKS' BALANCE SHEET / AUDIT NORMS (तुलन पत्र लेखा परीक्षण)

14.28.1 IndAS Accounting Norms deferred (लेखा मानदंड स्थगित/टाल दिये)

⇒ Ministry of Corporate Affairs (MCA) ordered all the companies to keep their balancesheet as per the format prescribed in the Indian Accounting Standards (IndAS).

⇒ **Benefit?** IndAS accounting format makes it easier for the local and global investors and regulators to compare, analyze and understand a company's financial position from its balancesheet. (इस रिपोर्ट को देखकर निवेशक को आसानी से कंपनी की वित्तीय क्षमता का अंदाज़ा लग जाता है.)

⇒ IndAS is not part of BASEL norm. But, since commercial banks are basically 'companies doing banking activity', so they also have to comply to IndAS norms. But, only RBI has the power to notify its implementation deadline on banks. (बैंकों के ऊपर भी इन्ही नियमों को लागू करना है.)

⇒ 2020- Critics demanded RBI should implement it. What is the deadline? NOTIMP.

14.29 RECAPITALIZATION OF PSBS: [सार्वजनिक क्षेत्र के बेंको का पुन:पूंजीकरण]

If a bank doesn't have enough capital to comply with BASEL-III norms it can issue debt (bonds) and equities (shares) to gather new capital. (बासिल मानदंडो का अनुपालन करने के लिए बैंक ने पूंजी जमा करनी होती है)

- **2015:** Estimation that Public Sector Banks (PSBs) will require ₹ 1.8 lakh crore additional capital by 31/3/19 to comply with BASEL-III norms.
- So, Finance Ministry's Dept. of Financial Services up with **Indradhanush PLAN** for phased-recapitalization of PSBs with ₹ 70,000 crores from 2015 to 2018. Individual PSB will get funding based on outcomes / performance. (इंद्रधनुष प्लान के अंतर्गत वित्त मंत्रालय सरकारी बैंको में पूंजी दे रहा था-बासिल मानदंड के अनुपालन के लिए)
- **2017:** It became clear ₹70,000 crores was insufficient for BASEL-III compliance. So, Modi Govt. announced more amount. (हालांकि बाद में पता चला की वो रकम पर्याप्त नहीं थी और ज्यादा रकम चाहिए होगा)
- To arrange ₹₹ for this, Govt began to issue Bank Recapitalization Bonds (RcB) in the market with following features: These bonds will have interest rate of ~7%, mature@ 2028-2033. Non-transferable to third party, Non-convertible into shares. (तो ज्यादा रकम बटोरने के लिए सरकार ने बाजार में बॉन्ड जारी किये)
- Govt instructed PSBs to mobilize equity (share) capital from private investors.
- However, investors shy away from smaller banks with weak balancesheets, so BMB & 5 Associated Banks merged with SBI (2017). Vijaya & Dena to be merged with BoB (2019, 1st April) etc. (More in Pillar#1B1)
- Budget-2021: ₹20,000 crores for PSB recapitalization in Financial Year 2021-22.
- Budget-2022 onwards: No money given for this. Govt's justification is that PSBs profitability improving so PSBs can take care of their capitalization problems by themselves by issuing shares/bonds in market. (सरकार ने बजट में कोई पैसा नहीं दिया. सरकारी बैंको अब तुम खुद अपना देख लो!)

MCQ. Find Correct Statement(s) abt Governance in PSBs:(UPSC-Pre-2018)

1. Capital infusion into PSBs by the Govt of India has steadily increased in the last decade.
2. To put the public sector banks in order, the merger of associate banks with the parent State Bank of India has been affected.

Answer Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2.

14.30 🤦‍♂️Banking Sector: Governance / Administrative Reforms

14.30.1 🤦‍♂️Gyan-Sangam-I, 2015, Pune

FinMin's Dept of Financial Services (वित्तीय सेवा विभाग) organized a workshop of financial regulators, Public Sector Bank, Insurance Companies etc. It resulted in 3 outcomes:

1) PSBs' CMD post bifurcated into 1) separate chairman and 2) separate MD&CEO so that banks can function in more professional and accountable manner.
2) **Indradhanush** plan for bank recapitalization (₹ 70,000 crores)
3) Finance Ministry setting up an autonomous body- Bank Board Bureau (BBB). →

14.30.2 🤦‍♂️ Personnel Selection → Bank Board Bureau (BBB), 2016

Figure 4: यूपीएससी की तरह हम लेंगे नौकरी का इंटरव्यू

- It is non-constitutional, non-statutory body (यह संस्थान न तो संवैधानिक है न तो वैधानिक)
- It interviews & selects top officials (MD, CEO, Chairman and full-time Directors) for PSBs, public sector insurance companies, and other public sector financial institutions (e.g. NABARD, SIDBI etc.).
- Actual appointment done by FinMin's Department of Financial Services. (Just like UPSC selects candidates suitable for IAS but DoPT notifies appointment.)
- BBB also helps the banks in governance reforms, raising capital for BASEL-III etc.
- BBB has 1 Chairman (usually a retired IAS) and some members.

🔠❓ **MCQ. Chairman of public sector banks are selected by the _ _? (Prelims-2019)**

(a) Banks Board Bureau (b) RBI (c) Ministry of Finance (d) Management of concerned bank

🔠❓ **MCQ. Find Correct about 'Banks Board Bureau (BBB)' (Prelims-2022)**

1. The Governor of RBI is the Chairman of BBB.
2. BBB recommends for the selection of heads for Public Sector Banks.
3. BBB helps the Public Sector Banks in developing strategies and capital raising plans.

Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

14.30.3 🤦‍♂️ Personnel Selection → FSIB replaces BBB (2022)

⇒ 2022: Delhi High Court ruled, "BBB cannot select public sector (govt owned) insurance companies because of conflict with the other laws related to public sector insurance companies.

⇒ 2022: Then Govt replaced BBB with new body named "**Financial Services Institutions Bureau (FSIB)**" to comply with court order.

⇒ Every thing else (function, feature etc) about FSIB is = same as BBB.

🚩👶 **FAQ: is this not unethical / big-joke to subvert court order?**

Ans. Court has not banned FSIB yet. Govt did not bother to justify loudly in news headlines.

Columnist did not bother to loudly criticise. So, I did not bother to PHD.#🕰️थोड़ा-पढ़ो-आगे-बढ़ो

14.30.4 Customer Service: Enhanced Access and Service Excellence (EASE) Agenda 2018

2018: FinMin's Dept of Financial Services released EASE framework (बढ़ी पहुंच और सेवा उत्कृष्टता) with 6 pillars to make PSBs more Responsive and Responsible viz.

1. Customer Responsiveness. (ग्राहको के प्रति जवाबदेही)
2. Responsible Banking: Reduce NPA, prevent frauds. (धोखाधड़ी पर अंकुश)
3. Credit Off Take: Try to reach out to potential borrowers for home, auto, education, loans. (स्वयम बेंक ही उधारकर्ताओ को खोज निकाले)
4. Help MSME entrepreneurs via SIDBI's Udyamimitra.com portal. Approve/reject loans in not more than 15 days. (लघुउधोगों की मदद)
5. Deepening Financial Inclusion & Digitalization. (वित्तीय समोवेशन)
6. Employees' Human Resource Management (HRM: मानव संसाधन प्रबंधन): improve with training, performance linked promotion-salaries-posting-transfers etc.

Implementation? Each whole-time director of a PSB will be entrusted with one pillar of the EASE-framework. Their performance will be checked by the PSB's board of directors. An independent agency will be tasked to check public perception. Finally PSB banks will be ranked: E.g. 2018: PNB#1.

14.30.5 Staff Accountability Framework for PSB-NPA

⇒ Finance Ministry's issued this for NPA accounts up to Rs 50 crore in PSBs from 1/4/2022.

⇒ If PSB Banker took bonafide business decisions to approve loan application but it turned NPA then banker will be protected from undue inquiries/harassment by 3Cs — CBI (Central Bureau of Investigation), CVC (Central Vigilance Commission) and CAG (Comptroller and Auditor General).

⇒ Previously the fear of 3C was discouraging the public sector bank managers from sanctioning big loans (in the aftermath of TBS, Mallya, Nirav Modi).

⇒ (सरकारी बैंक और लोन पास करने से डरते हैं क्योंकि उन्हें तो CBI, CVC, CAG की कार्रवाई का डर लगता है तो अब वित् मंत्रालय ने कुछ नए "**सार्वजनिक बेंक कर्मी जवाबदेही ढांचा**" दिशानिर्देश जारी किए हैं ताकि ईमानदारी से लिए गए फैसलों में अगर लोन का पैसा वापस न आए तो सरकारी बेंक के ईमानदार बैंकर पर अनावश्यक रूप से कोई कार्रवाई न हो)

14.30.6 Customer Service: RBI's B.P.Kanungo committee (2022)

He suggested various reforms against bullying/harassment for loan recovery agents, etc.

Term	Explain
Bancassurance	when banker sells insurance product to a customer to earn commission. e.g. IDBI managers selling LIC policy. This NOT illegal. This is allowed.
Cross-selling	when banker sells additional services to customer e.g. credit card, Insurance policy, mutual fund investment etc. . This NOT illegal. This is allowed.

Mis-selling	When customer is misled about a product. e.g. Bank manager says our Credit card are given for FREE for lifetime! (but it is free only for 1st year, and then starts charging annual fees of ₹1999/-). This is illegal/unethical.

14.31🧹🐵:😈(🚫🏦) NEGATIVE NEWS: ILFS & SHADOW BANKING

14.31.1 😈(🚫🏦) NBFC: Shadow Banking (आभासी / प्रतिछाया बैंकिंग प्रणाली)

📦📦ES20 Vo1 Chapter 08 on 'NBFC's Financial Fragility' (वित्तीय भंगुरता) observed

⇒ Shadow banking is a set of activities and institutions. They operate partially (or fully) outside the traditional commercial banking sector. They are not fully regulated by the RBI. ये संस्थाए पारंपरिक बैंकिंग नियमो के दायरे से बाहर काम करती है.

⇒ They mobilize funds by borrowing from banks, issuing Commercial Papers (CP) and Bonds (Non-convertible debentures)

Table 1: Three important segments of the shadow banking system in India

HFCs	Housing Finance Companies. E.g. Dewan Housing Finance Limited (DHFL)
LDMFs	- Liquid Debt Mutual Funds invest clients money into short term debt instruments such as T-bill (of Govt) and Commercial Papers (of companies). - e.g. certain schemes by UTI, Kotak, L&T, Tata mutual funds - 2019: Some of these LDMFs had invested clients money in IL&FS and DHFL, but failed to get the money back. Nearly ₹4000 crore of investors' money is stuck, triggering the NBFC crisis in India.
Retail-NBFCs	Retail Non-Banking Financial Companies such as Gold loan companies, asset finance companies etc.

Shadow banking system's assets are risky and illiquid. If there is a 'bank run' like situation (depositors / investors demanding the money bank) these shadow banks can't honour the obligations. As seen in the ILFS crisis (2019).

14.31.2 😈(🚫🏦) Shadow Banks ⟶ IL&FS & NBFC Liquidity Crisis

- Infrastructure Leasing & Financial Services (IL&FS) is a Systemically Important Non Deposit Taking Non - Banking Finance Company **(NBFC - ND – SI:** प्रणालीगत रूप से महत्वपूर्ण- डिपॉज़िट न लेनेवाली- गैर-बैंकिंग वित्त कंपनी) Setup in 1987 HQ@Mumbai.
- **Shareholders:** LIC > Japan's Orix group > Abu Dhabi's group > Central Bank of India > SBI.
- **Challenge?** loans given to unworthy borrowers with forged documents, bribes were paid to IL&FS board directors & auditors.

14.31.3 👻 ATMANIRBHAR ⟶ 👨🔪🏦🐵 Partial Credit Guarantee Scheme (PCGS) 2.0

- Budget 2019: If NBFCs/ MFCs/Micro Finance Institutions (MFIs) borrowed money by issuing debt securities (Bonds or Commercial Papers) ⟶ Public sector banks (PSB) invested in it ⟶ but borrower default then the government pays 20% of loss to PSB. (सार्वजनिक बैंकों को आंशिक क्रेडिट गारंटी)

14.31.4 Shadow Banking: reform points by Government and SEBI

Shifted to Mains Handout.

🔠❓ **In September 2019, which one of the following travel giants declared itself bankrupt? (CDS-i-2020)** (a) Expedia (b) Cox & Kings (c) SOTC ✅**(d) ANS: Thomas Cook**

14.32🧹🐵💍 Negative News: PNB, LoU, SWIFT, & Nirav Modi

PNB (Mumbai Branch): *Give foreign currency loan to our client Nirav Modi for purchase of goods (diamonds, airplanes, whatever), if he doesn't pay, we'll pay.*

- ——If such bank guarantee given to another bank in a foreign country, it's called **Letter of Undertaking/ Letter of Credit/ Letter of Comfort**: ~~internal difference not important.~~
- Bank earns commission / fees from client for issuing such letters / guarantees.
- Thus, Nirav got loans in dollars currency from foreign banks, to buy diamonds in HongKong.
- **PNB Scam:** PNB-Mumbai's corrupt manager kept issuing LoUs to diamond merchants Nirav Modi & Mehul Chowkasi without due-diligence or collaterals for 7 years, worth ~₹12,000 crores. And 2018-January: Nirav & Mehul left India.
- PNB officials couldn't detect scam because LoUs were generated through **SWIFT** platform, which was not integrated with their Core Banking Solution (CBS) server. (What is SWIFT? Ans. Ref pillar1A1: digital payment)
- Afterwards, ⚾📻⚾🎓✋ **ball by ball commentary on Nirav Modi case =NOTIMP**

14.32.1 🇯🇵 Yes Bank to be taken over by Japan's Sumitomo Bank (2025)

- Yes Bank suffering loses due to loan fraud and AT1 Bond mismanagement.
- Yes Bank shareholders include SBI, Axis, Kotak and HDFC Bank.
- 2025-RBI allowed Japan's Sumitomo Mitsui Bank (SMB) to buy Yes Bank from those shareholders.

14.33👦🏽🤲🏻🐯 RBI Dividend, Reserves, Economic Capital Framework

RBI's income sources include 👇	From its income, RBI allocates funds to 👇
1. Interest on G-Sec that are not sold in Open Market Ops. 2. Interest on Foreign G-Sec / Sovereign Bonds. 3. Interest on Loans given to other Banks / NBFCs. कर्ज पर मिलने वाला ब्याज 4. Revaluation of foreign currency and gold in RBI reserves. विदेशी मुद्रा और स्वर्ण भंडारों के मूल्य में बढ़ोतरी 5. **Seigniorage**: profits from printing money- because face value > intrinsic value. HOW?	1. Staff retirement fund, provisions for bad loans, depreciation in assets… 2. **Reserves** for contingency (emergency): ~₹ 2.5 Lcr. आपातकाल के लिए आरक्षित भंडार 3. **Reserves** for Exchange Rate Stability (Technically called "Currency & Gold Revaluation Reserve: ~₹7 lakh cr विनिमय दर में स्थिरता के लिए आरक्षित भंडार) After making these allocations, profit is shared with Union Govt. in form of 'Dividend' (RBI Act Section 47). रिज़र्व बैंक के मुनाफे में से ये भंडार/ निधि में

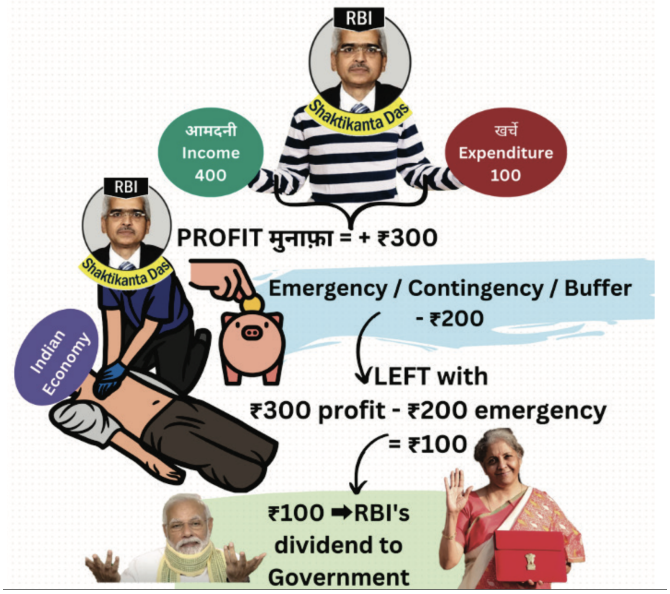
RBI's income sources include 👇	From its income, RBI allocates funds to 👇
NOTIMP 6. Penalties imposed on errant banks.	पैसा रखने के बाद यदि कोई राशि बची तो वह सरकार को लाभांश के रूप में देनी होगी

🔤 ***MCQ. Which of the following are the sources of income for the Reserve Bank of India? (Pre'25)***

I. Buying and selling G-Sec. *II. Buying and selling foreign currency*
III. Pension fund management *IV. Lending to private companies*
V. Printing and distributing currency notes
Codes: (a) I and II only (b) II, III and IV (c) I, III, IV and V. (d) I, II and V

14.33.1 🔤❌ RBI seignorage not source of income as per official AKEY?

- Seignorage is a source of income/profit for a central bank- As per advanced books on economics, and as per newspaper articles published during the Urjit-Patel resignation era (2018)
- However, in 2025, the official answer key of UPSC marked it wrong.
- Probably for two reasons (i) UPSC did not disclose the provisional answer key, so no one could complain against it and/OR (ii) UPSC looked at the official balance sheet of RBI wherein printing of the currency notes is shown as "**expense**".



14.33.2 👦🏻🤚🏻🐯 RBI's Bimal Jalan panel (2018)

- 2017: RBI Governor Urjit Patel gave ₹50,000 crore dividend to Govt but Govt wanted ₹3.6 lakh crore dividend. Then, (गवर्नर उर्जित पटेल जितना दे रहा था उससे कई गुना ज़्यादा डिविडेंड सरकार चाहती थी)
- RBI setup Bimal Jalan panel to decide the principles for dividend transfer to Govt. (आर्थिक पूंजी संरचना तथा लाभांश वितरण के सिद्धांत)
- 2019- August: RBI board approved Bimal Jalan report.
- It updated norms in such manner that RBI will be able to transfer more dividend / surplus to the Government. (तकनीकी मानदंडों में सुधार ताकि रिजर्व बैंक अपने मुनाफे में से भारत सरकार को अधिक लाभांश दे सकें.)

14.33.3 👦🏻🤚🏻🐯 RBI gives highest/record-breaking dividend Rs 2.86 lakh crore to Govt (2025-26)

Topic self-explanatory from heading itself. We'll not waste time in why/how that happened?

14.33.4 🐯📆 RBI's Financial / Accounting Year (वित्तीय वर्ष में बदलाव)

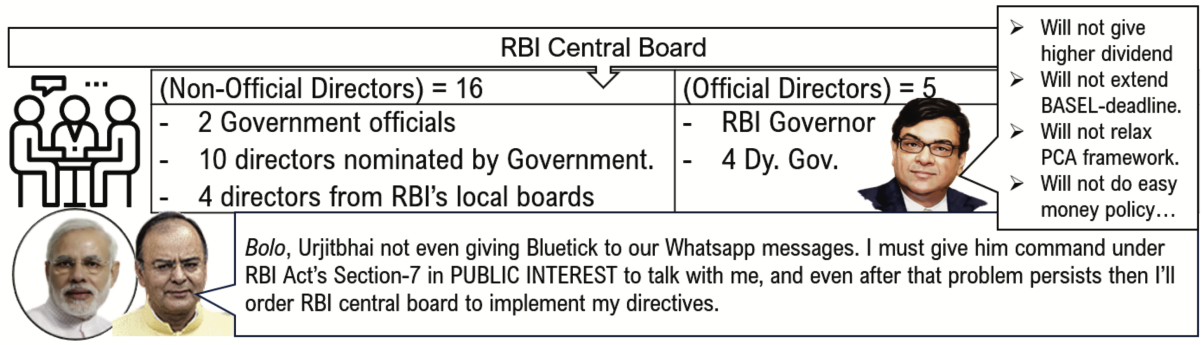
2019: Bimal Jalan panel recommended 👇reform → RBI's central board accepted it

Before	After
RBI's financial year - **1934 onwards**: January to December - **1940 onwards**: July to June	- From 1st April, 2021, RBI will switch to annual April-March format.
But Govt's financial year is April-March so, RBI had to give **interim dividend** to govt until RBI's final balance sheet was prepared, then another **(full) dividend** was given.	After this reform, no need for interim dividend (अंतरिम लाभांश वितरण नही देना होगा।)

14.33.5 Section-7 Directive & Urjit Patel's Resignation (इस्तीफा)

⇒ Section 7(1) of the RBI Act empowers the Government to consult with RBI Governor in Public Interest. (जनहित के लिए, रिजर्व बेंक कानून की धारा नंबर 7 के अंतर्गत सरकार गवर्नर के साथ विमर्श कर सकती है)

⇒ In, 2018-October, for the first time in the history of Independent India, Govt began a Section-7(1) consultation with RBI Governor Urjit Patel, on the issues of PCA norms, BASEL-III deadline, higher dividend to Govt., Cheap Monetary Policy etc.



⇒ If RBI Governor doesn't positively respond in such Section-7(1) consultation, then Section 7(2): Government can issue binding direction / orders to RBI Central Board to implement its wishes. (यदि गवर्नर, एसे विमर्श मे, सरकार की बात नही सुनते तो, केंद्रीय बोर्ड द्वारा सरकार अपनी बात को लागू करवा सकती है)

⇒ Although, fearing backlash from media & opposition parties, Govt did not issue any specific directions to the RBI Board. But, 2018-Dec: Urjit Patel resigned before completing 3-year term.

MCQ. Find Correct statements about RBI: (UPSC Prelims-2021)

1. The Governor appointed by the Central Govt. (रिजर्व बैंक के गवर्नर की नियुक्ति केंद्र सरकार करती है)
2. Certain provisions in the Constitution give the Government the right to issue directions to the RBI in public interest. (कुछ संवैधानिक प्रावधानों के अंतर्गत केंद्र सरकार जनहित में रिजर्व बैंक को दिशा निर्देश दे सकती है)
3. The Governor draws his power from the RBI Act. (गवर्नर को आरबीआई कानून से शक्तियां मिलती है)

Code: a) 1 and 2 only b) 2 and 3 only c) 1 and 3 only d) 1, 2 and 3

14.33.6 Mains Answer Writing

Problems of bad loan-origin, present reforms, future reforms suggestion, IBC code success and limitations, how to use technology to prevent / solve NPA, etc. This handout deals only with PRELIMS#RAFTAAR. I've separate course for Mains-Exam (code: QEP##), without extra fees.

Next Handout Pillar#1C: SEBI SHAREMARKET